

How Do Households Respond to Expected Inflation? An Investigation of Transmission Mechanisms*

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Abstract

We investigate the channels through which inflation expectations affect household spending by conducting surveys featuring hypothetical scenarios involving an increase in inflation expectations. Most households do not adjust their current spending plans, often because they perceive inflation expectations as irrelevant or adhere to a fixed budget. Among those who do adjust, most decrease their spending, primarily due to wealth effects. Few households increase spending as prescribed by the traditional intertemporal substitution channel. We also document that financial conditions, cognitive ability, and subjective mental models—such as stagflationary expectations—help predict spending responses and the mechanisms households cite. Our findings provide insights into the discussion of using inflation expectations as a policy tool and highlight key frictions to incorporate into theoretical models.

Keywords: survey, inflation expectations, consumption, mechanisms

JEL Classification: D84, D15, E2, E52, E7

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1 Introduction

In standard economic models, inflation expectations play a crucial role in shaping households' consumption and savings decisions, and firms' pricing strategies and wage negotiations. Understanding whether these theoretical relationships hold empirically is of particular policy relevance in light of the recent surge in inflation. High inflation has sparked concerns about the potential rise in short- and long-term inflation expectations and how these shifts may affect agents' behavior and further increase realized inflation.

Our study leverages experimental methods to examine how household spending plans respond to higher inflation expectations and to identify the mechanisms driving these responses. Existing economic theory proposes a variety of channels through which consumption may respond to changes in inflation expectations. For instance, intertemporal substitution suggests higher inflation expectations will result in a lower real interest rate (if the nominal interest rate response is sluggish) and, therefore, more consumption today. However, there are other mechanisms that predict current consumption will fall in response to higher expected inflation. For example, higher future inflation will act as a tax on nominal savings and erode wealth, or sticky nominal wages may result in a decrease in real income. Given that there are various mechanisms that have different predictions, the overall sign of the relationship between expected inflation and current spending is theoretically ambiguous.

There is a large empirical literature on the relationship between inflation expectations and spending. Existing studies estimate the *combined* effect of all possible mechanisms (Weber et al., 2022; D'Acunto et al., 2023c). Our study takes an alternative approach by identifying the different mechanisms at work and evaluating their empirical importance. This strategy not only informs how inflation expectations affect spending, but also sheds light on the underlying channels. A deeper understanding of the mechanisms is relevant for discussions about forward guidance and using expectations as a monetary policy tool.¹ Furthermore, determining the key mechanisms helps discipline which frictions to incorporate into theoretical frameworks.

We systematically study the channels through which inflation expectations affect households' stated spending plans using a tailored survey instrument. The survey was administered to representative samples of the US population, yielding over 5,900 total responses. Our main experiments feature between-subject treatments differing along two dimensions. The first dimension is whether the spending questions ask about durable goods or nondurable goods and services. The second dimension is the time horizon over

¹Some economists have discussed whether engineering higher inflation expectations could serve as an alternative monetary policy to stimulate current spending (Coibion et al., 2020; Yellen, 2015). This proposal, while untried, could be particularly relevant during periods when policy rates are constrained by the zero lower bound, such as in the aftermath of the Great Recession.

which inflation expectations change in the hypothetical scenario: either a persistent increase in long-term (10-year) inflation expectations or a temporary increase in short-term (1-year) inflation expectations.

Our survey instrument includes two key innovations. First, we introduce a controlled and hypothetical change in household inflation expectations to estimate how this affects respondents' planned current *real* consumption (over the next three months). The hypothetical scenarios feature an increase in inflation expectations over a specified horizon that always begins in three months. That is, current prices (over the next three months) are unchanged in the hypothetical scenario. Thus, any change in current spending can be interpreted as a change in *real* consumption. Second, the survey is designed to identify the different channels underlying each respondent's spending response. To achieve a comprehensive understanding of the mechanisms, we elicit them using three complementary methods: (i) respondents provide unstructured text responses in an open-text box; (ii) respondents are shown a list of mechanisms and asked whether each was a consideration in their thought process; and (iii) respondents quantify the relative importance of applicable mechanisms by allocating a total of 100 points across them. We also ask respondents about their expectations regarding their household income growth, the federal funds rate, and uncertainty about their financial situation before and after the hypothetical scenario. These questions allow us to evaluate whether these variables are affected by the hypothetical scenario, thus providing a better understanding of respondents' subjective models, as well as tailoring the channels that are presented to respondents.

Recent studies have demonstrated that responses to hypothetical questions are consistent with those obtained from randomized controlled trials (RCTs), thereby affirming their efficacy (Colarieti et al., 2024; Kumar et al., 2023). Moreover, the use of hypothetical scenarios in our study offers significant advantages. It allows us to induce specific changes in inflation expectations (both in terms of magnitude and time horizon) that are otherwise difficult to generate in naturally occurring settings or information-provision experiments (Coibion et al. 2023; Armantier et al., 2022), and it enables us to ask respondents about the mechanisms driving their spending responses. Furthermore, compared with methods that use cross-sectional variation, the within-person variation in our design increases statistical power and more cleanly isolates the effect of higher inflation expectations.

We start by reporting our results on economic beliefs. First, as in Hajdini et al. (2022) and Jain et al. (2024), we find that in response to an increase in inflation expectations, the majority of households (about 70%) expect their nominal income will not keep pace with inflation, which implies a lower real income. Second, approximately 40% of households have beliefs consistent with the Taylor rule and expect the Fed to increase interest rates. Third, while approximately 25% believe elevated inflation expectations increase their financial uncertainty, the hypothetical scenario does not change the majority of

respondents’ sense of financial predictability. Finally, people often associate higher expected inflation with a worsening economy, consistent with the findings of [Kamdar and Ray \(2024\)](#) and [Binetti et al. \(2024\)](#).

We then investigate how an increase in inflation expectations affects spending plans. On the extensive margin, overall, we find most households (64%) do not change their consumption basket—a result that, to our knowledge, has not been documented before. Another 9% say they would maintain their dollar spending but change their consumption bundle. About 22% state that they would decrease spending, and the remaining 5% would increase spending. In terms of the average quantitative effect on spending, we find that higher long-term inflation expectations significantly reduce durable goods spending, and higher short-term expectations have either a negative or statistically insignificant effect. Spending on nondurable goods is not significantly affected by the increase in long- or short-term inflation expectations. Overall, higher inflation expectations either have no effect or a negative effect on consumption.

Next, we examine the underlying mechanisms that drive spending choices. Most of the respondents who did not change their planned level of spending indicated that they have a fixed budget or that future inflation does not affect their current spending decisions at all. There is also some evidence that liquidity constraints played a role. For those who decreased spending, the main reasons were wealth effects and a desire to save to purchase inflation-hedged assets. We also find substantial evidence of channels linked to other economic forecasts driving respondents to decrease spending. For instance, respondents often cited factors such as income growth failing to keep pace with inflation and increased uncertainty associated with elevated inflation ([Friedman, 1977](#); [Ball et al., 1990](#); [Binder, 2017](#)). Among the relatively small group of respondents who reported an increase in their spending, the primary channels were intertemporal substitution and stockpiling. Finally, we find that demographic variables, financial conditions, and cognitive factors help predict both consumption responses and the weights placed on different mechanisms, although the explanatory power of these observables is modest.

We conduct four additional surveys to check the robustness and generalizability of our main findings. The first assesses how a large change in inflation expectations, specifically a 10 percentage point increase in short-term beliefs, affects durable spending. We find that the extensive margin adjustments are similar to those in the main treatments. The average quantitative effect on durable spending is significantly negative, while the comparable treatment featuring a three percentage point increase resulted in an insignificant effect.

For the second robustness treatment, we introduce a supply shock scenario that features higher gas prices, and respondents *endogenously* update their inflation expectations and, in turn, durable spending. This design is similar to the hypothetical vignettes in [Andre et al. \(2022\)](#) and is also closer to RCT studies with information treatments, in

that respondents endogenously change their expectations. Over half of the participants still do not change their planned durable spending. Although a higher fraction of respondents would decrease spending in response, the average quantitative effect is similar to that of the main long-term durable treatment (where the change in inflation expectations is comparable to that in the gas treatment). These results reinforce the message that higher inflation expectations are unlikely to boost consumption. They also confirm that the mechanisms leading respondents to keep their spending unchanged remain important, even if the cause of rising inflation expectations is specified—at least in the case of an oil supply shock.

In our main treatments, we present respondents only with mechanisms consistent with their stated consumption response in order to reduce cognitive load and confusion. In the third robustness treatment, respondents can see mechanisms associated with decreasing, increasing, and unchanged spending regardless of their stated spending response. We find that while allocating weights to the applicable mechanisms, respondents place most of their weight on mechanisms aligned with their spending response and assign little weight to other mechanisms. This suggests that the design of the main treatments does not distort the relative importance respondents attribute to different mechanisms.

The final robustness treatment features a three-percentage-point decrease, rather than an increase, in inflation expectations. Again, most respondents keep their planned spending unchanged. On average, spending increases, but the change is not statistically significant. The importance of mechanisms is broadly similar to that in the baseline, with some differences; for example, respondents place more weight on intertemporal substitution as a driver of spending decreases. Taken together, our results suggest that using inflation expectations as a policy tool to change consumption may be an ineffective approach.

Related Literature. Our paper is closely related to the work investigating how inflation expectations affect household spending. This literature computes simple cross-sectional correlations or, to establish causality, uses RCTs or event studies. Our contribution is twofold. First, we provide evidence on how individual spending responds to several types of changes in inflation expectations, including short-run and long-run changes, supply-driven shocks, increases of different magnitudes, and decreases in inflation expectations. Second, we provide a comprehensive analysis of the channels through which inflation expectations impact current stated durable and nondurable spending.

Existing studies document a range of effects of inflation expectations on spending. Evidence for a positive relationship includes [Duca-Radu et al. \(2021\)](#), [Vellekoop and Wiederholt \(2019\)](#), [Binder and Brunet \(2022\)](#), [D’Acunto et al. \(2021\)](#) for durable spending, [Burke and Ozdagli \(2020\)](#) for durable spending for certain types of households, [D’Acunto et al. \(2023b\)](#) for high-IQ men, and [Coibion et al. \(2022\)](#) for nondurable spending. Evidence for an insignificant or negative relationship includes [Bachmann et al. \(2015\)](#), [Galashin](#)

et al. (2020), Coibion et al. (2022), Coibion et al. (2023), Andrade et al. (2023), and Kostyshyna and Petersen (2024) for durable spending; Burke and Ozdagli (2020), Coibion et al. (2023), and Kostyshyna and Petersen (2024) for nondurable spending.

At first glance, this empirical evidence may appear mixed and inconsistent: some papers find a positive effect, others a negative effect, and still others report no effect or an imprecisely estimated effect. There are several reasons why the literature may find different results. Existing work studies different institutional and economic settings, across which the relevant mechanisms and overall effects may differ. Furthermore, some papers focus on documenting heterogeneity in the size and sign of the effect across demographic groups. Additionally, some papers estimate an unconditional association between beliefs and spending propensities, while others document conditional relationships that arise when particular channels are made salient.

A classic example of how the relationship may vary across settings and demographic groups is Bachmann et al. (2015). While they document an insignificant positive relationship between inflation expectations and planned durable spending overall, they find a significantly negative relationship during the zero-lower-bound period. They also find heterogeneity across respondents based on their forecast accuracy: individuals who are good forecasters exhibit a positive relationship between inflation expectations and readiness to spend on durables. Relatedly, other work has documented that high-education or high-IQ individuals spend more when they have higher inflation expectations, while their low-education or low-IQ counterparts feature a negative or null relationship (Burke and Ozdagli, 2020; Duca-Radu et al., 2021; D’Acunto et al., 2023b). Other work has investigated how the relationship may change when certain mechanisms are made salient. For example, D’Acunto et al. (2021) demonstrate that, in response to an increase in the value-added tax in Germany—accompanied by explicit communication from the government, retail firms, and the media emphasizing that advancing purchases would be advantageous and underscoring the benefits of stockpiling and intertemporal substitution—there was an increase in both inflation expectations and durable spending. In contrast, in response to forward guidance announcements, which were less covered by the media, there was no response in inflation expectations or durable spending. These results show that making certain mechanisms salient can affect how individuals think about the relationship between inflation and consumption (Schnorpfeil et al., 2023).

In our setting, we find that, on average, there is an insignificant or negative relationship between expected inflation and spending, with limited evidence of intertemporal substitution. A novel insight from our findings is the strong evidence in support of channels that lead to no changes in current spending, such as having a fixed budget, the perceived irrelevance of inflation expectations, or liquidity constraints. These channels are consistent with micro empirical and experimental works on mental accounting and

narrow bracketing (Thaler, 1999; Kőszegi and Matějka, 2020; Gelman and Roussanov, 2024; D’Acunto and Rossi, 2025), hand-to-mouth consumption (Aguilar et al., 2020), and models of rational inattention, sparsity, or near-rationality, where agents only pay attention if the benefits outweigh the costs of doing so (Akerlof and Yellen, 1985; Sims, 2003; Gabaix, 2014; Weber et al., 2025; Bracha and Tang, 2024; Andre et al., 2025). Furthermore, we find support for channels that result in a decrease in spending, such as the erosion of savings and nominal income rigidity. These mechanisms are consistent with previous findings that households view inflation as a bad outcome (Kamdar and Ray, 2024; Coibion et al., 2023) due to wealth effects (Schnorpfeil et al., 2023) or the belief that income will not keep up (Shiller, 1996; Stantcheva, 2024).

While other work has focused on the effects of changes in short-term inflation expectations, we also study long-term expectations. This is an important question since many policymakers emphasize the key role of long-term beliefs in realized inflation (Bernanke, 2007; Draghi, 2014). We find that the negative effect on spending is stronger with longer-term increases in inflation expectations.

Our paper also contributes to the literature investigating the relationship between expectations of inflation and other economic variables. We confirm that households often associate higher inflation expectations with (i) expectations of a deteriorating economy (Kamdar and Ray, 2024), (ii) limited pass-through to income expectations over the short horizons (Jain et al., 2024; Hajdini et al., 2022; Shiller, 1996; Stantcheva, 2024), and (iii) higher interest rates (Dräger et al., 2016; Carvalho and Nechio, 2014). We also document that horizon matters: when higher expected inflation is framed as more persistent, respondents are more likely to expect the federal funds rate to rise, financial uncertainty to increase, and the economy to worsen.

Finally, our methodology builds on the growing literature that uses hypothetical scenarios in surveys to investigate macroeconomic questions, the so-called “vignette” or “strategic survey” approach (see Armantier et al., 2022 for a review). Applications include health-dependent utility and life cycle consumption (Ameriks et al., 2020), consumption theory (Fuster et al., 2021; Christelis et al., 2019; Colarieti et al., 2024), the causal effect of hypothetical shocks (e.g., to past inflation, oil supply, or monetary policy) on inflation expectations (Andre et al., 2022; Armantier et al., 2022; Aidala et al., 2023), and labor market responses to future inflation (Pilossoff and Ryngaert, 2022). The strategic survey methodology allows us to design controlled exogenous scenarios that are tailored to address the question of interest but do not frequently occur in field settings. To the best of our knowledge, we are the first to apply this method to examine the transmission mechanisms between inflation expectations and consumption decisions.

The paper proceeds as follows. Section 2 details the channels through which inflation expectations may influence spending decisions. In Section 3, we discuss the survey design

and implementation. Sections 4 and 5 present the survey findings for the main treatments and robustness treatments, respectively. Section 6 investigates which individual observables can predict respondents' spending choices and chosen mechanisms. Implications for policy and theory are discussed in Section 7, and Section 8 concludes.

2 Transmission Mechanisms

This section reviews the theoretical channels through which inflation expectations can affect households' current spending decisions. Appendix A illustrates these channels using simple models. Table 1 summarizes the channels that predict a change in spending, and Table 2 summarizes the channels consistent with no change. In each table, the first column lists the channel names used throughout the paper, and the second column presents how we describe each channel to respondents without economic jargon. The wording shown refers to durable goods; we use analogous descriptions for nondurable goods and services.

Let us begin with the channels through which higher inflation expectations increase current spending (Table 1 Panel A). First, higher inflation expectations reduce the real interest rate through the Fisher equation (assuming nominal rates do not fully adjust), and a lower real rate boosts current spending through the Euler equation. This is the canonical *intertemporal substitution* channel. Second, households that anticipate future price increases may begin *stockpiling* goods before prices rise further. Next, an increase in inflation expectations may be associated with a change in household income growth expectations. If households associate inflation with a better economy, they may expect their income to grow at a faster rate than inflation (*flexible income*) and increase current spending. Note that households could increase their current spending even if they expect their income growth rate to rise but not keep up with inflation due to *nominal illusion* (Bachmann et al., 2015). We distinguish between flexible income and nominal illusion based on the respondents' posterior beliefs regarding income growth: if expected income growth exceeds inflation, we classify the response as flexible income; if expected income growth is below inflation, we classify it as nominal illusion. Finally, any future income growth also implies expected wealth gains for fixed-rate debt holders, as higher inflation erodes the real value of the debt. Consequently, as in Fisher (1933), current spending could increase through a *debtor's wealth effect*.

Other mechanisms suggest that an exogenous increase in expected inflation may lead to a decrease in current spending (Table 1 Panel B). First, higher future inflation acts as a tax on nominal assets, inducing a negative *saver's wealth effect*. Second, households may engage in *inflation hedging* by acquiring assets such as real estate that are partially protected from higher inflation, thereby reducing their spending. Third, if households believe their income growth rate will not keep pace with inflation, they may perceive

Table 1: Description of Underlying Channels for Spending Changes

Name	Explanation
	<i>As prices will rise even more after the next 3 months, ...</i>
Panel A: Increase Current Spending	
Intertemporal Substitution	the return on savings won't be worth as much after the next 3 months , thus, saving over the next 3 months becomes less attractive. So, I will buy more durable goods over the next 3 months .
Stockpiling	I will buy more durable goods over the next 3 months before prices go up even more.
Nominal Illusion	my household income will increase further over this period. So, I will buy more durable goods over the next 3 months .
Flexible Income	my household income will rise faster than price increases over this period. So, I will buy more durable goods over the next 3 months .
Uncertainty (reverse)	my household will face lower financial uncertainty over this period. So, I will buy more durable goods over the next 3 months .
Variable Debt (reverse)	the Fed (the central bank of the U.S.) will decrease interest rates over this period. Thus, my household can pay less for our variable rate loans over this period. So, I will buy more durable goods over the next 3 months .
Debtor's Wealth Effect	given that my debt payments are fixed and my income will increase further over this period, I will have more money left after paying my fixed debts. So, I will buy more durable goods over the next 3 months .
Panel B: Decrease Current Spending	
Saver's Wealth Effect	my existing savings over this period won't be worth as much. So, I will buy less durable goods over the next 3 months .
Inflation Hedge	I will move more money to assets not as affected by rising prices, such as real estate, and buy less durable goods over the next 3 months .
Rigid Income	my household income will not keep up with the price increases over this period. So, I will buy less durable goods over the next 3 months .
Uncertainty	my household will face higher financial uncertainty over this period. So, I will buy less durable goods over the next 3 months .
Variable Debt	the Fed (the central bank of the U.S.) will raise interest rates over this period. As a result, my household must pay more for our variable rate loans over this period. So, I will buy less durable goods over the next 3 months to save up for the higher future payments.
Debtor's Wealth Effect (reverse)	given that my debt payments are fixed and my household income will decrease over this period, I will have less money left after paying my fixed debts. So, I will buy less durable goods over the next 3 months .

Table 2: Description of Underlying Channels for Unchanged Spending

Name	Explanation
	<i>As prices will rise even more after the next 3 months, ...</i>
Panel A: Spending Unchanged, Different Bundle	
Liquidity Constraints	I don't have money and cannot borrow to increase my spending over the next 3 months .
Fixed Budget	I have a fixed budget plan and stick with it.
Panel B: No Change	
Liquidity Constraints	I don't have money and cannot borrow to increase my spending over the next 3 months .
Fixed Budget	I have a fixed budget plan and stick with it.
Not a Consideration	When I plan my spending over the next 3 months , the price changes after the next 3 months do not matter.
Real Income Unchanged	My household income will keep up with price increases over this period. So, I will not change my spending decisions over the next 3 months .

higher prices as an erosion of their real purchasing power, leading to a decrease in current spending (Volcker, 2011; Jain et al., 2024; Hajdini et al., 2022). We call this the *rigid income* channel. Additionally, higher future inflation may be associated with increased *uncertainty* about the economy (Friedman, 1977; Ball et al., 1990; Binder, 2017) and may result in a reduction in current spending due to precautionary savings motives. Finally, households may change their expectations about interest rates. The central bank may increase interest rates over this period to curtail inflation (as in the traditional Taylor rule). Consequently, households must allocate more funds to service their *variable-rate debt* in the future, leading them to increase their savings and reduce current spending.

We have now discussed the main theoretical channels through which higher expected inflation could raise or lower current spending. For completeness, we also include “reverse” versions of three channels: uncertainty, variable debt, and the debtor’s wealth effect. Although these mechanisms contradict standard theoretical predictions, they might capture how some households reason about inflation and spending. For example, the *uncertainty (reverse)* channel posits that higher expected inflation decreases uncertainty and thus increases spending.

There are also reasons why inflation expectations may not affect the current planned level of spending (Table 2). First, households may be unable to borrow or tap into their assets due to *liquidity constraints*.² This could curtail the intertemporal substitution effects of increased inflation expectations, akin to how they dampen the efficacy of forward

²We combine liquidity and borrowing constraints into one mechanism, since both imply households are unable to increase spending, despite their desire to do so, due to a financial friction. We describe this mechanism as “I do not have money and cannot borrow,” encompassing both concepts. For simplicity, we refer to this channel as “liquidity constraints.”

guidance on interest rates (McKay et al., 2016). Additionally, households may operate on a *fixed budget*, adhering strictly to a predetermined plan, e.g., as a result of behavioral mental accounting, narrow bracketing, or near-rationality (Thaler, 1999; Köszegi and Matějka, 2020; Gelman and Roussanov, 2024; D’Acunto and Rossi, 2025; Andre et al., 2025). These two mechanisms could explain why, in response to higher inflation expectations, subjects either purchase the same bundle of goods or acquire a different bundle of goods while keeping total dollar spending constant.

Finally, there are two additional reasons why some may keep their current spending and their bundle of goods unchanged (Table 2 Panel B). First, future inflation may be *not a consideration* at all for current consumption decisions. This could be due to myopia and present bias (Hajdini, 2023; O’Donoghue and Rabin, 2015), or rational inattention, sparsity, or near-rationality, where the gains from paying costly attention to inflation are too small (Weber et al., 2025; Pfäuti, 2023; Bracha and Tang, 2024; Gabaix, 2014; Andre et al., 2025). Second, households may believe their income growth rate will remain in line with inflation, thereby keeping their *real income unchanged*.

To understand household spending decisions, it is useful to quantify the relative significance of each of these channels. Theory is often ambiguous about this, but in some cases, it delivers testable hypotheses regarding how a channel’s strength should vary with (i) the types of goods—durable vs. nondurable—and (ii) the horizon of the rise in inflation expectations—long-term vs. short-term.³ For example, Bachmann et al. (2015) show that intertemporal substitution considerations may be stronger for durable goods. By contrast, the inflation hedge channel may be weaker for durables because they naturally provide a higher degree of inflation hedging. Finally, liquidity constraints may be more relevant for durable spending because durables tend to be big-ticket items.

Additionally, the strength of some channels may depend on the duration of the expected increase in inflation. Relative to a change in short-term inflation expectations, a change in long-term inflation expectations leads to a stronger wealth effect. Similarly, the intertemporal substitution effect could also be stronger with changes in long-term inflation expectations. Assuming a sluggish response of the nominal interest rate, higher expected future prices make current consumption relatively cheaper, thus encouraging current spending. More persistent changes in inflation expectations induce larger changes in future prices relative to current prices, generating a larger effect on current spending.

Furthermore, changes in inflation expectations may cause people to alter their expectations of other economic variables. The effects of these changes may depend on whether the rise in inflation expectations is transitory or persistent. For example, households may be more likely to expect their financial predictability to worsen, their income to keep up

³Appendix A illustrates some of these hypotheses in simple models.

with inflation, or nominal interest rates to increase if higher expected inflation is persistent. These beliefs will, in turn, affect the applicability of the associated channels.

3 Survey Design and Implementation

This section describes the survey design and implementation. We first discuss the design of the six main treatments and then outline the modifications introduced in the four robustness treatments. Table 3 summarizes the main design features of all treatments.

3.1 Main Treatments

The six main treatments examine spending responses to a three-percentage-point increase in inflation expectations. They follow the same survey structure and vary along two dimensions: (i) whether spending questions refer to durable goods or nondurable goods and services, and (ii) the time horizon over which inflation expectations change in the hypothetical scenario.

Each survey consists of five modules: pre-hypothetical scenario, hypothetical scenario, post-hypothetical scenario, channel identification, and demographics. The pre-hypothetical scenario module obtains respondents’ “priors” about expected inflation, (non)durable spending, household income growth, household financial uncertainty, and the federal funds rate. We refer to them as “priors” because the expectations about these variables are elicited before respondents are exposed to the hypothetical scenario. The hypothetical scenario module describes a counterfactual situation where the respondent’s inflation expectations are raised for either a short horizon (1 year) or for a long horizon (10 years). Then, the post-hypothetical scenario module obtains the respondents’ “posteriors” of (non)durable spending, as well as the other aforementioned economic variables. Next, the channel identification module aims to understand respondents’ changes in (non)durable spending by eliciting open-text reasoning, asking respondents to select mechanisms from a list consistent with their posterior beliefs, and assigning weights to applicable mechanisms.⁴ The final module asks standard demographic questions, as well as cognitive reflection and financial situation questions. Appendix C provides a diagram of the survey flow, as well as the key questions in the questionnaire.⁵

⁴When answering questions about expectations and spending plans, respondents are told that there are no right or wrong answers and that we are interested in their personal views. To facilitate comprehension, we carefully designed the questionnaire with expert input from the Center for Survey Research at Indiana University Bloomington, refining both its structure and phrasing. In addition, we embedded control questions to confirm respondents’ understanding of the content.

⁵The questionnaire for the SD treatment, excluding demographics, cognitive reflection, and financial situation questions, can be found in our Bank of Canada working paper ([here](#)), and all ten survey instruments in Qualtrics Survey Format can be found in a repository ([here](#)).

Table 3: Description of Treatments

Treatment Label	Sample Size	Consumption Type	Change Duration	Expectations Change per Year	Horizon Separation
SD	504	Durable	1 year	+3	No
SN	504	Nondurable	1 year	+3	No
LD	497	Durable	10 year	+3	n/a
LN	498	Nondurable	10 year	+3	n/a
SD-SEPA	494	Durable	1 year	+3	Yes
SN-SEPA	500	Nondurable	1 year	+3	Yes
SD-10	2,005	Durable	1 year	+10	No
D-Gas	495	Durable	Endogenous response to 1 year +50% in gas		n/a
SD-SEPA-All	202	Durable	1 year	+3	Yes
SD-Decrease	202	Durable	1 year	-3	Yes

Notes: This table summarizes the ten treatments. Consumption type indicates whether we elicit durable (D) or nondurable (N) spending. Change duration is the horizon over which the hypothetical change in inflation expectations persists: the short-run (S) lasts one year, the long-run (L) lasts ten years. Expectations change indicates the hypothetical change in inflation expectations per year in percentage points. For the D-Gas treatment, expectations endogenously adjust to a 50% increase in the gas price that lasts one year. For the short-run treatments, horizon separation indicates whether the short and long horizons are separate (SEPA); this column is not applicable for the long-run and gas treatments.

Pre-Hypothetical Scenario. We begin the pre-hypothetical scenario module by presenting respondents with a concise and non-technical explanation of price changes in percentages, fostering a common understanding of the concept. Then, we elicit respondents’ percent price change expectations over the next three months, over the 12 months following the next three months, and over a longer horizon (either the annual average for the 10 years following the next three months, or for the nine years following the next year and three months). We also ask for a qualitative measurement of their uncertainty over each horizon. We use standard question formats established in the literature. While there is an ongoing debate about whether asking about “inflation” or “prices in general” is more effective in consumer surveys ([Armantier et al., 2017](#)), our survey asks about the percent change in “prices in general” to avoid difficulties arising from the annualization of expectations over a three-month interval. Furthermore, we use the phrase “in general” to encourage respondents to think about the aggregate inflation rate rather than the inflation rate on their typical consumption basket.⁶

To ensure that subjects understand the time horizons, we provide exact dates and visual timelines. For example, for surveys fielded in February 2023, for the 12-month horizon starting in three months, we state that we are interested in the period from May 2023 to May 2024 and provide Figure 1a as a visual guide. For the 10-year horizon

⁶Although we follow the Michigan Survey of Consumers (MSC) and ask about “prices in general” rather than “inflation,” our formulation avoids two potential issues in the MSC approach. First, unlike the MSC, we do not asymmetrically probe respondents who report high inflation expectations. Second, we use “prices in general” in both the qualitative and quantitative questions. In contrast, the MSC uses “prices in general” in the qualitative question but simply “prices” in the quantitative question, which may inadvertently lead individuals to think about their own consumption basket.

starting in three months, we state we are interested in the period from May 2023 to May 2033 and provide Figure 1b as a reference.⁷

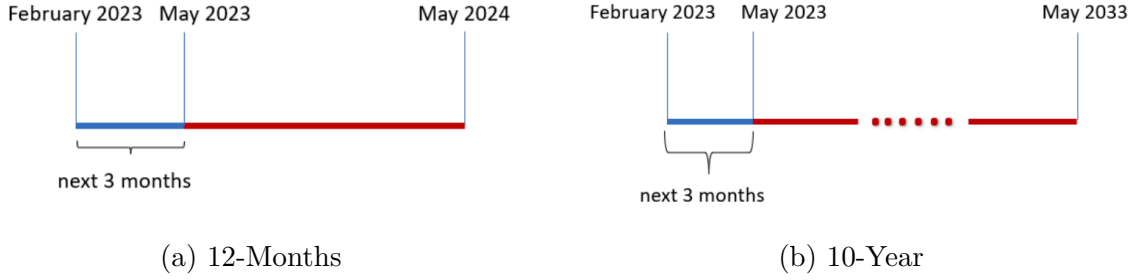


Figure 1: Visual Guide Timelines

Notes: Timelines respondents saw in February 2023 that indicate the next three months, the 12-month horizon or the 10-year horizon following the next three months.

We also elicit the respondents’ beliefs about a variety of economic outcomes over the 12-month horizon or the 10-year horizon (depending on whether they are in a short- or long-term treatment), starting after three months. Specifically, we ask about their expectations regarding their household income growth rate, the federal funds rate, and their ability to predict their household’s financial situation. The federal funds rate and the household financial situation questions follow the phrasing of questions in the Bank of England Inflation Attitude Survey.

Next, depending on the treatment, respondents report their average monthly spending on durable or nondurable goods over the last three months and their expected average monthly spending plan over the next three months. The expected consumption plan over the next three months will serve as our measure of “current” consumption. These survey questions follow the CentER Internet panel phrasing (Coibion et al., 2023).

Hypothetical Scenario. The hypothetical scenario asks survey participants to consider a hypothetical situation in which their inflation expectations are higher than those estimated in the initial module of the survey.

In the short-term treatments, we instruct respondents to imagine that they have received credible new information about future inflation. Thus, they now expect inflation in the *one year* following the next three months to be three percentage points higher than in their initial estimation. The hypothetical scenario also specifies the situation thereafter. Initially, for simplicity, we specified that the average annual 10-year inflation rate after the next three months remains stable (treatments SD and SN). We realized that the above hypothetical scenario has a drawback in that expected inflation in years 2 to 10 must implicitly be lower, potentially attenuating the intertemporal substitution effect

⁷To avoid confusion between cumulative percent changes and average annual percent changes for 10-year horizons, we have several follow-up questions asking whether individuals responded with the cumulative rate, and if so, they are asked to correct their answers.

induced by higher inflation expectations in the first year. To address this, we conducted additional short-run treatments that fully shield the long-term horizon from changes. This hypothetical scenario involves only an increase in expected inflation over the year following the next three months, while the inflation rate thereafter—years 2 through 10—remains unchanged. We label these additional short-run treatments as SD-SEPA and SN-SEPA to reflect the separation between short- and long-run horizons.⁸ For reference, the wording used in the SD-SEPA treatment (conducted in March 2024) is as follows:

Now, imagine that you have received some information about future prices from a reliable source that you trust. In response to this new information, you update your expectations on prices as follows:

- (1) Over the next 3 months from March 2024 to June 2024, you expect the percentage change in prices to be A% (this is the **same** as your initial expectation).*
- (2) Over the 12-month period from June 2024 to June 2025, you expect the percentage change in prices to be (B+3)% (this is **3% higher** than your initial expectation).*
- (3) Over the 9-year period from June 2025 to June 2034, you expect the percentage change in prices per year on average to be C% (this is the **same** as your initial expectation).*

The table below summarizes your initial expectations and updated expectations on future prices:

Expectations on changes in future prices	Over the next 3 months March 2024 to June 2024	Over the 12-month period June 2024 to June 2025	Over the 9-year period June 2025 to June 2034
Initial	A	B	C
Updated	A	B+3	C

In the long-term treatments, LD and LN, the three-percentage-point increase in expected inflation is long-lived. Respondents are asked to imagine that, after the next three months, the expected average annual rate of 10-year inflation increases by three percentage points.

Several points are worth noting. First, we use blue text to indicate the next three months and red text to indicate horizons after the next three months. This coloring is consistent with the timelines used as visual guides throughout the survey. Second, as we use consumption in the next three months to proxy current consumption, we tell subjects that in the alternative scenario, prices in the next three months will remain the same as initially expected. That is, additional price increases occur only after the next three months. The change in consumption in the next three months can therefore be interpreted as a change in *real* consumption.⁹ Finally, after the hypothetical scenario is

⁸Appendix Table A1 illustrates how the hypothetical scenarios in the SD/SN, SD/SN-SEPA, and LD/LN treatments theoretically map into consumption decisions.

⁹In survey pre-tests, we found that when the hypothetical scenario was an increase in prices in the

described, respondents are required to correctly answer a three-question quiz to confirm their understanding of the updated expectations on future prices before they can proceed.

Post-Hypothetical Scenario. The preceding module generates a hypothetical, controlled, and exogenous increase in household inflation expectations. Following that, the post-hypothetical scenario module (i) solicits posterior beliefs about other economic variables, including spending, and (ii) examines the underlying mechanisms that drive the changes in household consumption spending. Soliciting posterior beliefs about other economic variables serves a dual purpose. It allows us to investigate whether higher inflation expectations affect respondents' expectations about other economic variables, potentially enhancing our understanding of the relationship between inflation expectations and spending. Furthermore, it allows us to shorten the survey, as we can tailor the channels presented to respondents.

The post-hypothetical scenario module begins with questions about how respondents would update their forecasts regarding economic variables, including household income growth, household financial uncertainty, the federal funds rate, and the general outlook on the economy. For each question, we provide the respondent with their prior answer and a summary of the hypothetical scenario.

Next, we ask respondents how their household's planned spending in the next three months would change in the new scenario. Respondents are first presented with a qualitative question asking whether they expect to purchase the same amount and types of durables (or nondurable goods and services): *"In response to the change in your expectation about future prices **after the next 3 months** (see table below for a recap), do you still plan to buy the same type and the same amount of durable goods **over the next three months** as in your previous plan?"* If the answer is no, they are then asked whether their dollar spending will stay the same: *"Now think about your dollar spending. Will you change your dollar spending on durable goods **over the next 3 months**? For reference, previously you planned to spend on average \$X per month on durable goods **over the next three months**."* If the answer is yes, we next ask whether spending will increase or decrease and to what level. The qualitative question asks: *"You just indicated that you will change your dollar spending on durable goods **over the next 3 months** in response to the change in your expectations about future prices **after the next 3 months**. Do you plan to increase or decrease your spending on durable goods?"* Then, the quantitative question asks: *"To be more accurate, what is your new plan for the household's average monthly*

next 12 months, many respondents said they would increase spending in the next three months. However, open-text explanations suggest the increases were mostly mechanical. That is, respondents thought inflation would be higher in the next three months and so they would have to spend more in nominal terms. Using this approach, we would need to infer whether the change in consumption represented a change in real spending. Instead, by separating current consumption (over the next three months) from the horizon under which inflation changes (after the next three months), we minimize mechanical increases and can clearly interpret the change in spending as a change in real spending.

spending on durable goods *over the next 3 months?* Your best guess is fine. For reference, your previous plan was to spend \$X per month on durable goods.” This sequence allows us to separate respondents into four groups: those who do not change anything about their plan, those who plan to spend the same amount but change their basket, those who plan to increase their spending, and those who plan to decrease their spending.

In asking for spending plans under a hypothetical scenario, we assume that the responses will be informative of actual behavior if the hypothetical were to occur in reality. While some have raised concerns about the plausibility of this assumption (Diamond and Hausman, 1994), there is growing recent evidence that using stated choices and actual choices yields similar results. For instance, Fuster et al. (2021), Colarieti et al. (2024), and Kumar et al. (2023) suggest that when respondents face realistic and relevant hypothetical questions, their responses are meaningful and informative. In addition, in the context of consumption decisions, Kreiner et al. (2013), Armantier et al. (2022), Coibion et al. (2023), and D’Acunto et al. (2021) find that survey-based spending plans align with actual spending.

Channel Identification. We use three methods to understand the mechanisms driving how respondents alter their consumption plans in response to changes in inflation expectations. First, on the same page where we ask how their planned spending would change under the hypothetical scenario, we also ask respondents to describe the considerations that played a role in their decision in an open-text box.

The open-ended question simply asks, *“We would like to know your thought process in answering the previous question on your new spending plan. What are your considerations in giving the previous answer? Your response is valuable for this research project. Therefore, please take your time to respond carefully and in several sentences if needed.”* Compared with the more structured methods introduced later, this approach does not prime respondents with specific mechanisms. However, this approach has limitations. Respondents’ answers may be incomplete due to their unwillingness to exert effort or their inability to fully describe their thought process. This leaves the interpretation and categorization of the responses to researchers’ subjective judgment (Andre et al., 2022). Furthermore, even when respondents can describe parts of the underlying mechanism(s) that drove their decisions, the descriptions are often insufficiently detailed to fully understand their views on all mechanisms. That is, we do not know whether and to what extent each mechanism plays a role.

To address these concerns, we complement the first method with a more structured approach. Respondents are sequentially shown each channel consistent with their previous responses and asked whether each channel was a consideration in their thought process. Participants are shown all mechanisms that are consistent with their qualitative changes in consumption and their posterior expectations of other economic variables. For instance,

respondents who state they would increase spending in the hypothetical scenario will exclusively see the channels that are consistent with an increase in spending. With regard to posterior beliefs, again considering respondents with increased spending, they would be presented with the flexible income channel only if their posterior income growth rate increases by more than the rise in inflation, or the nominal illusion channel only if their posterior income growth rose but by less than the rise in inflation. This methodology mitigates the cognitive demands on respondents to evaluate all channels while preserving consistency within their survey responses.

Finally, for the channels that played a role in a respondent’s thought process, we ask the respondent to allocate 100 points across the selected mechanisms to capture the extent to which each channel influenced their decision-making. To avoid order effects, the order of the channels is randomized. We include “other reasons” at the bottom of the list, in case we omitted a mechanism that a respondent feels is important.

Demographics. Finally, we ask standard demographic and financial condition questions, as well as three cognitive reflection test (CRT) questions ([Frederick, 2005](#)).

3.2 Robustness Treatments

In addition to our six main treatments, we conducted four supplementary survey treatments to assess the robustness of our results.

SD-10 uses a 10 percentage point increase in short-term inflation expectations in the hypothetical scenario, rather than the baseline of three percentage points. Otherwise, it is identical to the SD treatment and asks about durable consumption.

D-Gas induces an increase in inflation expectations in a more relatable way and in line with the vignettes in [Andre et al. \(2022\)](#). We ask respondents to imagine a scenario where future gas prices would increase, to endogenously adjust their inflation expectations and, in turn, spending. This design is closer to RCT studies with information treatments, in that respondents endogenously update their inflation expectations. The hypothetical scenario states: *“Now, imagine that you have received some information about the future price of gas from a reliable source that you trust. Suppose that in the 12-month period from Mar. 2025 to Mar. 2026, the Middle East will experience an issue with its oil production technology. This will cause the price of a gallon of gas to rise by 50% in the same period. This could also lead to higher prices for other goods and services in the same period, as gas is an important input in their production. However, the oil production problem will not affect prices in the next three months (Dec. 2024 to Mar. 2025).”*

SD-SEPA-All allows respondents to select the mechanisms associated with increasing, decreasing, and unchanged spending, regardless of their spending responses. In all

other treatments, respondents view only the mechanisms consistent with the direction of their stated spending decisions; this design choice is motivated by two considerations. First, in our pilot, we asked respondents whether counteracting channels played an important role in their decisions, and fewer than 10% reported yes. Second, evaluating channels for all consumption response categories could significantly increase respondents’ cognitive burden.¹⁰ The SD-SEPA-All treatment allows us to evaluate whether the specification in the other treatments is unduly restrictive. To limit cognitive burden, we present only the top three mechanisms for each spending direction, selected based on the main survey results. Before the structured elicitation, we include a preamble noting that some mechanisms may not align with the respondent’s spending response, but we ask about them in case they nevertheless influenced their reasoning.¹¹

SD-Decrease is identical to SD-SEPA except for one feature: it introduces a three-percentage-point decrease, rather than an increase, in inflation expectations over the year following the next three months. This treatment allows us to assess whether consumption responses—and the mechanisms respondents cite—are symmetric with respect to the direction of the change in expected inflation.

3.3 Survey Implementation

We recruited respondents through online sampling companies. The SD, SN, LD, LN, and SD-10 treatments were conducted through Dynata in 2023, and the other treatments were conducted through Prolific in 2024 and 2025.¹² The median completion time was 25 minutes for the SD-SEPA-All treatment and 19 minutes for the other treatments. After data collection, we applied the same data-cleaning procedure to all treatments (see Appendix B.1 for details), resulting in over 5,900 observations in total.

Appendix Table B1 presents the demographic and financial characteristics of our survey respondents and compares them with their U.S. adult population counterparts (from the 2021 American Community Survey). Various characteristics of the sample and the population are aligned. Female respondents constitute 54% of our sample and 51% of the population. The fraction of households within different income brackets and regional distributions is also similar to their nationally representative counterparts.

¹⁰We tested the survey with a focus group of economics Ph.D. students; even they indicated that showing all channels was confusing.

¹¹For example, for respondents who plan to increase spending, we ask about mechanisms that would support keeping spending unchanged: “*When answering, did you also consider any reasons for spending the same dollar amount, even if those reasons felt less important than the ones for spending more?*”

¹²The SD, SN, LD, and LN treatments were conducted in late February and March 2023; the SD-10 treatment was conducted in early December 2023; the SD/SN-SEPA treatments were conducted in late March 2024; the D-Gas treatment was conducted in late December 2024; and the SD-SEPA-All/SD-Decrease treatments were conducted in August 2025.

Nevertheless, there are some demographic differences. Households in our sample are more likely to have a college degree, to be married, and, in the Dynata surveys, to be older and White. To control for these differences, we present weighted statistics.¹³ The weights applied in our analysis are designed to align the sample with the 2021 American Community Survey across multiple dimensions, including race, age, gender, marital status, region, household income, and education.¹⁴

4 Main Treatment Results

This section presents our survey findings from the six main treatments: SD, SN, LD, LN, SD-SEPA, and SN-SEPA. We begin by examining how households update their economic expectations in response to a hypothetical increase in expected inflation, as these changes could shape the mechanisms behind spending decisions.¹⁵ We then study how households adjust their spending plans and, finally, assess which mechanisms are empirically important.

4.1 Effects on Expectations of Other Variables

First, we explore the impact of increased inflation expectations on other economic expectations: household income growth, household financial predictability, the federal funds rate, and the broader economic outlook. Table 4 summarizes these posterior beliefs.

A majority of respondents (between 58% and 79% across the six treatments) anticipate their income growth to lag behind the change in inflation (between 40% and 59% of respondents expect no change in income growth) in the hypothetical scenario. Among the remaining respondents, the shares of those who expect their income to keep up with inflation and those who expect it to outpace inflation are roughly similar.

With respect to the federal funds rate, the largest group of respondents (between 50% and 61% across the six treatments) believes it will remain unchanged post-scenario. Among those who expect a change, the share anticipating a higher federal funds rate is much larger than the share expecting a lower rate, consistent with the Taylor rule.

Turning to household financial predictability, most respondents (between 64% and 73% across the six treatments) report that an increase in future inflation expectations

¹³The main results are robust and qualitatively similar with unweighted data; see Appendix B.8.

¹⁴We employ the numerical iterative method known as raking to compute the weights. The weights vary from 0.18 to 9.68, a range that is reasonable within this context.

¹⁵Respondents' prior expectations regarding price changes, planned spending on durable and non-durable goods, and other economic variables are reported in Appendix B.2. Overall, these expectations are in line with statistics from commonly-used, nationally-representative surveys (inflation expectations from the Michigan Survey of Consumers and spending from the Consumer Expenditure Survey).

does not affect their perceptions of their own financial stability. Among the rest, more respondents associate higher future inflation with greater financial unpredictability than with lower unpredictability.

Lastly, in terms of the general economic outlook of respondents under the hypothetical scenario, the largest group of respondents (between 35% and 59% across the six treatments) holds a stagflationary view of the economy. That is, these respondents correlate heightened inflation expectations with a deteriorating economic environment. The next largest group expects no change in the economic environment, and a minority anticipates an improvement in the economy.

Table 4: Posteriors of Economic Beliefs, by Treatment

	SD	SN	LD	LN	SD-SEPA	SN-SEPA
<i>Household Income Growth</i>						
Adjust downwards	4.9	10.3	6.7	5.4	9.6	12.0
No change	49.0	50.9	39.9	50.4	59.1	51.3
Adjust upwards by less than 3	12.0	12.1	10.9	10.7	10.0	11.7
Adjust upwards by 3	18.0	17.4	22.2	18.0	14.6	16.0
Adjust upwards by more than 3	16.1	9.2	20.4	15.5	6.7	9.0
<i>Federal Funds Rate</i>						
Adjust upwards	34.9	39.8	43.0	40.2	35.7	38.3
No change	61.3	55.3	50.4	52.6	50.8	52.5
Adjust downwards	3.8	4.8	6.6	7.2	13.5	9.3
<i>Financial Predictability</i>						
More difficult	19.4	25.3	23.6	28.6	24.2	17.4
As difficult as before	65.6	65.9	65.9	63.7	63.5	72.8
Less difficult	15.0	8.8	10.6	7.6	12.3	9.8
<i>General Economic Outlook</i>						
Improve	25.3	20.7	25.9	22.6	17.7	16.0
No change	40.0	33.3	33.2	34.9	23.2	28.4
Worsen	34.8	46.0	40.9	42.6	59.1	55.6
Observations	504	504	497	498	494	500

Notes: Following the hypothetical scenario, respondents were asked how their expectations would change for their household income growth rate, the federal funds rate, their household's financial predictability, and the general economic situation in the year following the next quarter (short-term treatments) or on average over the 10 years following the next quarter (long-term treatments). This table reports the percentage of respondents within a treatment that gave each possible response. The last row indicates the number of respondents in each treatment.

4.2 Effects on Spending

Next, we investigate how the hypothetical scenario affects planned spending, analyzing both the extensive margin (qualitative changes) and the average quantitative effect. Figure 2 summarizes the results. Along the extensive margin (Panel A), approximately 64% of respondents (ranging from 57% to 70% depending on the treatment) stated that an increase in expected inflation would not affect their spending at all in the next three

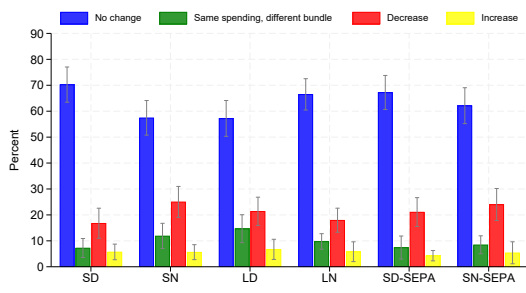
months. Approximately 9% (ranging from 7% to 15%) reported ‘same spending, different bundle’. Therefore, close to three quarters of respondents keep their dollar spending the same. Approximately 22% (ranging from 17% to 25%) would decrease spending, while a mere 5% (ranging from 4% to 7%) would increase spending.

In Panel B, we plot the average change in spending across respondents by treatment. Note that some respondents have prior durable spending of zero dollars; therefore, we plot average dollar spending rather than the average percent change. However, for ease of comparisons across treatments, which feature different prior spending, we sometimes discuss the “percent change in spending” for different treatments. These values were calculated as the average spending change in consumption divided by the average prior and are reported in Appendix Table B7. We find a small increase in the SD treatment and decreases in all the other treatments. In terms of statistical significance, the average effects are insignificant for four out of the six treatments: the majority of respondents do not change their spending, and for those who do, the changes tend to cancel out among respondents. The few households that increase spending do so by a significant amount, with an average change of 50%. Meanwhile, a larger share of households decreases consumption by a more modest amount, with an average change of 28%.

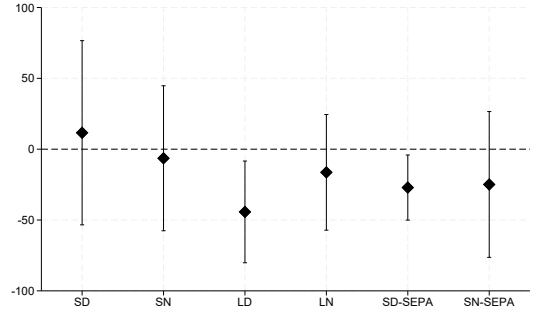
In two treatments, LD and SD-SEPA, the average change in spending is statistically different from zero, indicating a stronger response for durable spending. The implied spending reductions are 3.8% in SD-SEPA and 8.2% in LD. For context, these magnitudes correspond to roughly one and two standard deviations, respectively, of the business cycle components of durable spending (derived using FRED DDURRA3Q086SBEA quarterly series from 1947Q1 to 2025Q3).¹⁶

Robustness Across Subgroups. Figure 2 shows that most respondents do not change their spending plans in response to higher expected inflation. To assess whether this is a general phenomenon among the respondents, we examine spending responses in subgroups defined by various characteristics that prior studies have shown to influence spending decisions. First, individuals with smaller inflation forecast errors or more accurate perceptions of past inflation may respond more strongly to changes in inflation expectations (Bachmann et al., 2015; D’Acunto et al., 2021). Similarly, respondents with

¹⁶Coibion et al. (2023) and Kostyshyna and Petersen (2024) also report statistically significant declines in dollar spending on durable goods in response to higher inflation expectations. Both studies implement information provision experiments to induce changes in inflation expectations and relate spending outcomes to the cross-sectional variation in respondents’ posterior inflation expectations. By contrast, our hypothetical scenarios impose the same three-percentage-point change in inflation expectations for all respondents, allowing us to study within-subject changes in planned spending. Using a Dutch sample in 2018, Coibion et al. (2023) find that a one-percentage-point increase in one-year-ahead inflation expectations reduces durable spending by about 4.9% over the subsequent three months; using a Canadian sample in 2020, Kostyshyna and Petersen (2024) estimate a response of about 11%. Relative to these studies, our estimated decline is smaller (after scaling their estimates by three). Differences likely reflect variation in samples, time periods, and identification strategies used to assess the effects of inflation expectations.



(a) Extensive Margin (Percentage)



(b) Quantitative Effect (Dollar Change)

Figure 2: Spending Response

Notes: Panel (a) plots the proportion of participants from each treatment that reported each qualitative response (extensive margin). Panel (b) plots the average quantitative change in dollar spending for each treatment. The bars indicate 95% confidence intervals.

higher cognitive ability (D’Acunto et al., 2023b) may be more responsive due to a better understanding of intertemporal substitution. Additionally, due to life-cycle considerations, younger households may also adjust consumption more strongly than older cohorts. However, we find that ‘no change’ responses remain dominant across all these subgroups (see Appendix B.4 for details).

One may be concerned that the high percentage of ‘no change’ responses could result from survey fatigue, inattentiveness, or a general bias toward selecting no change in multiple-choice survey questions. We address these concerns below.

Survey Fatigue. To assess potential survey fatigue and inattentiveness, we examine two indicators across spending-response categories: (i) survey completion time and (ii) word counts in open-ended text boxes. For completion time, respondents reporting ‘no change’ in consumption took an average of 1,420 seconds—119 seconds (about 8%) less than respondents reporting any change, a difference that is not statistically significant. This comparison likely overstates differences in effort because respondents whose spending rises or falls face more follow-up questions. A more comparable benchmark is the ‘same spending, different bundle’ group, whose average completion time was 1,415 seconds, essentially identical to the ‘no change’ group. Open-ended responses tell a similar story: word counts are approximately equal across groups, averaging 20.6 words for ‘no change’ and 20.4 words for any change. Taken together, these patterns suggest that survey fatigue or inattentiveness is unlikely to explain the prevalence of ‘no change’ spending responses.

No Change Bias. To assess whether the high ‘no change’ response rate is due to a general bias toward selecting no change in multiple-choice questions, we conducted an additional shorter survey with 203 participants (see Appendix B.5 for details). We randomly split respondents into two groups: one completed our original spending response elicitation, while the other answered a revised version that asked them to enter directly

how much they would spend under the hypothetical scenario. Under both approaches, the majority of respondents report no change in spending.

4.3 Channels

In this section, we turn to the paper’s central question: the channels through which inflation expectations shape spending decisions. Figures 3 to 6 summarize the results for the four consumption responses: ‘no change,’ ‘same spending, different bundle,’ ‘decrease,’ and ‘increase,’ respectively. For each response category, we synthesize evidence from all three channel-elicitation methods. Panel (a) presents the results from the open-text method, and Panel (b) reports the results from the two structured approaches: selecting mechanisms from a list and allocating weights.

Before discussing the results, we explain how we analyze the data from the three elicitation methods. For the open-text entries, we read each response and assign it to a channel. Some responses map cleanly to one or multiple mechanisms listed in Tables 1 and 2. Other explanations either do not fit any proposed mechanism or do not articulate a coherent economic rationale; we code these as “other.” For example, some respondents attribute their decisions to politics, and some describe “mechanical increases” where they need to spend more to purchase the same goods even though they were told that prices remain unchanged over the next three months. Entries that do not explain why their spending responds to higher inflation or that contain self-contradictory messages are categorized as “uninformative.”¹⁷

The second and third elicitation methods employ a structured approach. The bar charts in Panel (b) summarize the second method by reporting the percentage of respondents selecting each proposed mechanism (among all respondents who choose the same spending response category). The diamond markers in Panel (b) summarize the results from the third method by reporting the average weight that individuals place on each selected mechanism.¹⁸

To facilitate comparisons across methods, Figures 3 through 6 order mechanisms by their average weight across the six treatments. Generally, the open-text data are noisy. A large share of entries is coded either as “uninformative” or “other”. This likely reflects the

¹⁷We also use an LLM to classify the open-text responses and construct word clouds to show the most commonly used words in the open-text boxes (see Appendices B.6 and B.7 for details). These analyses complement our own classification by providing an independent classification of key considerations mentioned by respondents. The LLM classification is largely similar to our manual classification. Word clouds are harder to interpret but do feature words associated with highly selected channels.

¹⁸In the third method, respondents can also allocate weights to a residual category, “other.” This category may capture respondents considering mechanisms not listed in Tables 1 and 2 or mechanisms associated with an alternative spending direction. On average, “other” receives 23% of the total weight across the six treatments. We return to mechanisms associated with an alternative spending direction in the discussion of the robustness treatments.

greater effort required by open-ended questions and the fact that some respondents may be unwilling or unable to articulate economic reasoning.¹⁹ By contrast, the structured methods yield cleaner data and support a richer quantitative assessment of the channels’ relative importance. Reassuringly, the three approaches tend to suggest a similar ranking of the different channels.

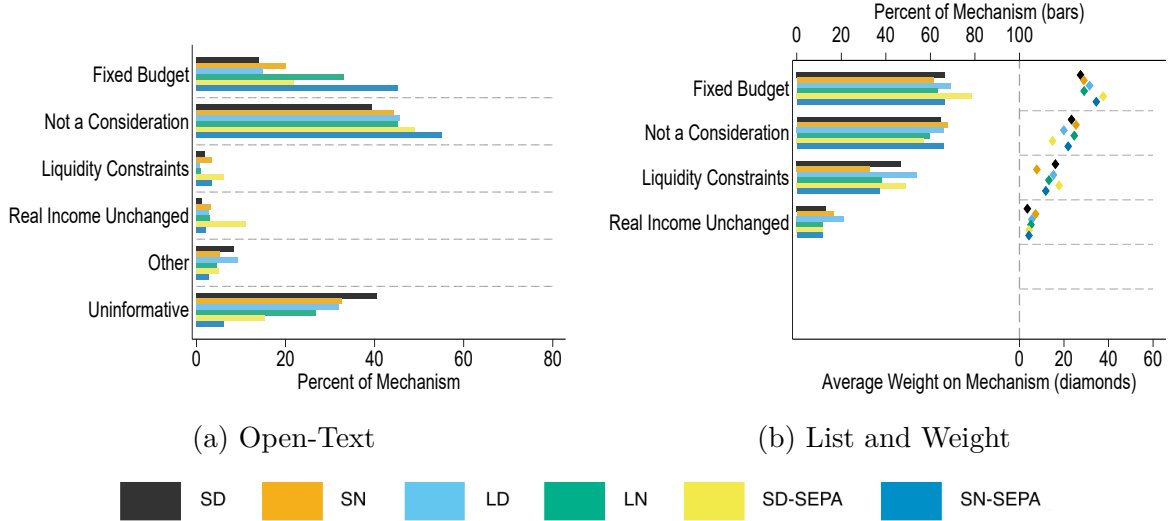


Figure 3: Mechanisms for No Change Responses

Notes: This figure presents the mechanisms underlying ‘no change’ in spending responses. For each treatment, the left panel reports the share of households whose open-text responses indicate that a given channel applies. In the right panel, the bars report the share of households who select each channel from the structured list. The diamonds indicate the average weights households assign to each mechanism. Because respondents may mention or select multiple channels, the bars can sum over 100%. The weight chart omits the category “other;” its weight is the residual, equal to 100 minus the total weights assigned to the mechanisms shown.

Channels for ‘No Change’ Responses. Table 2 lists four mechanisms for why a respondent may not change their current consumption bundle. All of these mechanisms appeared in some open-text responses (Figure 3a). For example, one respondent wrote, “*I have a very good income and buy what I want when I want and inflation does not really effect those decisions,*” which corresponds to our “not a consideration” channel. Another response read, “*Having a budget and sticking to that budget,*” which is consistent with the “fixed budget” channel. One subject explained, “*With the general rise in percentage of my salary and my wife’s salary, I don’t think we would have much trouble keeping up with the rising costs,*” and this is close to the “real income unchanged” channel. Among the identified mechanisms in the open-text boxes, the most common explanation is “not a consideration,” followed by “fixed budget.”

Figure 3b shows the results from the structured list selection and weight allocation

¹⁹Appendix Table B17 shows that respondents whose open-text responses are classified as “other” have similar mechanism selections and weights to those of other respondents whose open-text responses can be classified into a mechanism. This suggests that these respondents may not rely on different underlying channels; rather, they may face difficulties in communicating their economic reasoning.

elicitation approaches. “Fixed budget” is the most selected reason, with an average weight ranging from 27% to 38% depending on the treatment, closely followed by “not a consideration,” with an average weight ranging from 15% to 25%. “Liquidity constraints” is assigned an average weight between 8% and 18%. “Real income unchanged” received an average weight ranging from 4% to 7%.

Overall, the most common reasons respondents gave for not changing consumption were that future inflation was “not a consideration” and that they had a “fixed-budget” plan. This holds across all three mechanism-elicitation approaches. Some households do select “liquidity constraints” from the list of mechanisms, but they infrequently mention it in the open-text box and place less weight on it in terms of importance. Households rarely indicate “real income unchanged” as a consideration.

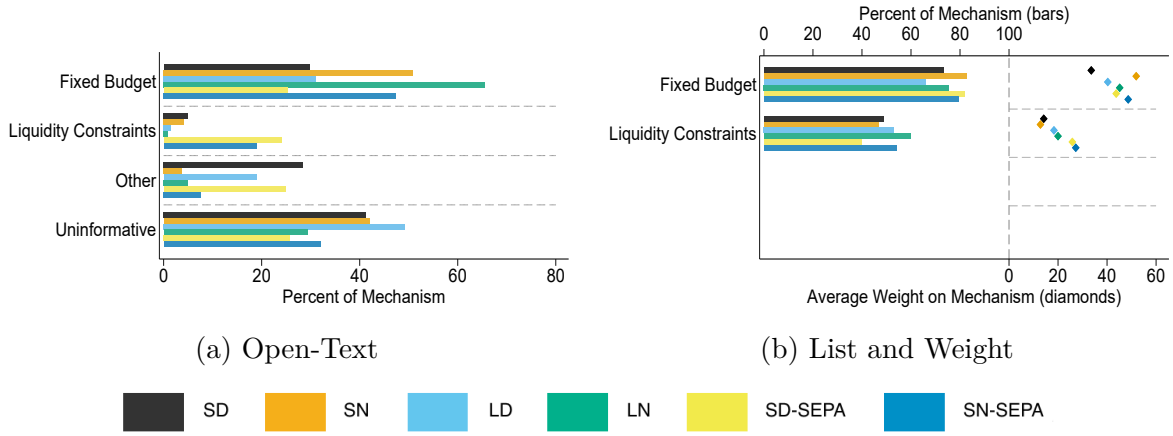


Figure 4: Mechanisms for Same Spending, Different Bundle Responses

Notes: This figure presents the mechanisms underlying ‘same spending, different bundle’ spending responses. The figure is constructed and annotated analogously to Figure 3.

Channels for ‘Same Spending, Different Bundle’ Responses. Table 2 lists two possible mechanisms for this consumption response category: “fixed budget” and “liquidity constraints.” Figure 4a shows our classification of open-text entries, and the most mentioned channel is “fixed budget.” As an example of this, one subject wrote, “*I would plan on spending the same amount, BUT would be much more choosy about what I spend on, buying generic vs brand products to offset.*” By contrast, “liquidity constraints” appears much less often.

Figure 4b presents the results from the structured list selection and weight allocation. “Fixed budget” is the most selected, with an average weight ranging from 34% to 52%. Additionally, a large fraction of respondents selects “liquidity constraints” as a consideration, even though only a small fraction of open-text explanations can be interpreted as that channel. Consistent with its rarity in the open-text, respondents assign “liquidity

constraints” a lower weight than “fixed budget,” with weights ranging from 13% to 27%.

Overall, households that do not change their spending but would change their consumption basket are mostly driven by sticking to a “fixed budget.” We find this across all mechanism-elicitation approaches. While respondents select “liquidity constraints” as an applicable channel, they rarely mention it in the open-text box and place relatively less weight on it.

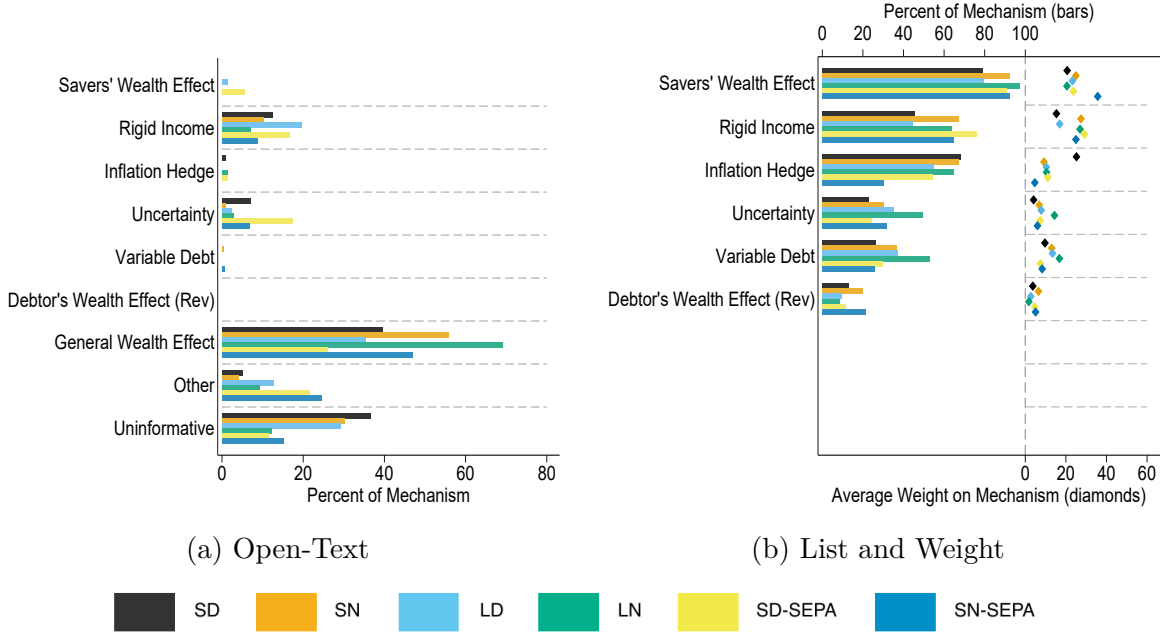


Figure 5: Mechanisms for Decrease Responses

Notes: This figure presents the mechanisms underlying ‘decrease’ spending responses. The figure is constructed and annotated analogously to Figure 3

Channels for ‘Decrease’ Responses. Table 1 lists six mechanisms for why households may decrease spending. In the open-text entries, we found evidence for all but the “debtor’s wealth effect (reverse)” channel (see Figure 5a). The most identifiable channel is “rigid income,” consistent with 7-20% of text entries. An example of this is: “*Since the price of goods is increasing at a higher rate than I anticipated & my income will not keep pace with that increase in must decrease what I am spending.*” The “saver’s wealth effect” is rarely articulated in the open-text responses. However, the underlying tone of many explanations is that the respondents feel poorer and, therefore, plan to spend less or switch to cheaper options in response to higher prices. For instance, one respondent stated: “*I will have to buy less products, try to buy cheaper items, use more coupons, and shop at dollar stores more.*” These explanations could be linked to both “rigid income” and the “saver’s wealth effect.” We label these responses as “general wealth effect,” which appears in 26–70% of open-text comments.

Turning to the structured list selection and weight allocation methods, Figure 5b

shows that most respondents select “saver’s wealth effect” and “rigid income” as applicable to them and assign them weights of 15-36%. “Inflation hedge” is selected by many respondents and to a lesser extent so are “variable debt,” and “uncertainty”, ranging from a quarter to a half depending on the treatment, but they receive relatively small weights.

Overall, households that would decrease consumption in response to higher expected inflation appear to be motivated by a decrease in their expected real wealth. The decrease in their wealth may be the result of the deterioration of their savings (“saver’s wealth effect”) or concerns about their income keeping pace with inflation (“rigid income”). While almost never mentioning it in the open-text, households did select “inflation hedge” motives from the mechanism list but then placed little weight on this channel.

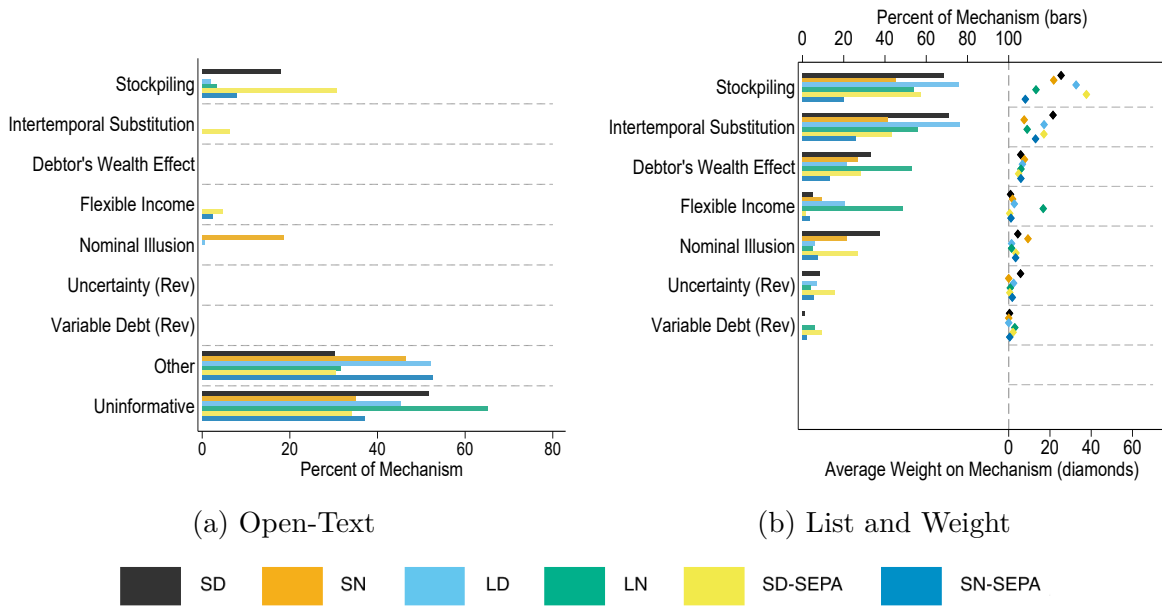


Figure 6: Mechanisms for Increase Responses

Notes: This figure presents the mechanisms underlying ‘increase’ spending responses. The figure is constructed and annotated analogously to Figure 3.

Channels for ‘Increase’ Responses. Table 1 lists the seven mechanisms that would lead to increased spending in response to higher inflation expectations. Only “stockpiling” and “nominal illusion” are meaningfully identified from the open-text entries (see Figure 6a). For example, one respondent wrote, “*If prices will go up it makes more sense to buy long-lasting items sooner than later,*” which can be interpreted as stockpiling. Over 70% of open-text entries are coded as “uninformative” or “other.”

The two structured mechanism elicitation procedures provide a clearer picture of the mechanisms at work (see Figure 6b). Most respondents select “stockpiling” or “intertemporal substitution,” and on average, assign more than 20% weight to each. Many also selected “debtor’s wealth effect,” but place less weight on it. Some select “flexible income”

and “nominal illusion,” but little weight is assigned these channels. Finally, “uncertainty (reverse)” and “variable debt (reverse)” are barely considered.

Overall, for the small fraction of respondents who indicated higher current consumption in response to higher expected inflation, the open-text entries reveal “stockpiling” as a meaningful consideration. The structured approaches confirm the importance of “stockpiling” as well as “intertemporal substitution.”

5 Robustness Treatments and Treatment Effects

In this section, we first assess the robustness of our main results using four additional treatments. Then, we summarize how posterior beliefs, consumption responses, and mechanism selection differ by treatment (e.g., durable vs. nondurable goods, small vs. large changes in inflation expectations, and changes in inflation expectations over long vs. short horizons).

5.1 Robustness Treatments

We first discuss the SD-SEPA-All treatment, which helps validate the mechanism-elicitation approach employed in the main treatments. We then present results from the SD-10, D-Gas, and SD-Decrease treatments to examine robustness across different scenarios. Figure 7 reports the qualitative spending changes and the average change in spending for all robustness treatments. Appendix Table B8 reports the “percent change in spending” for different treatments.

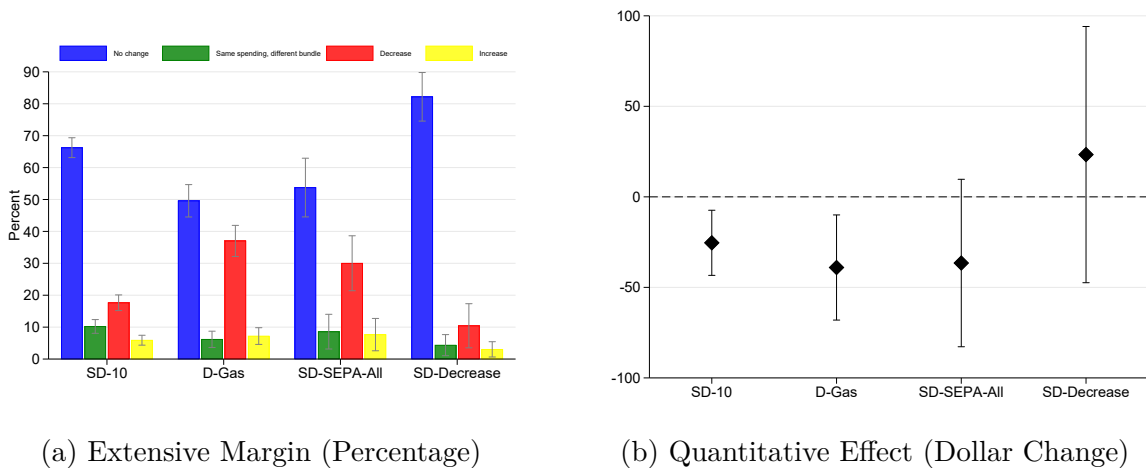


Figure 7: Spending Response with Robustness Treatments

Notes: Panel (a) plots the proportion of participants from each treatment group that reported each qualitative response (extensive margin). Panel (b) plots the average quantitative change in dollar spending for each treatment group. The bars indicate 95% confidence intervals.

SD-SEPA-All. In the main surveys, to reduce cognitive load, respondents only see mechanisms that are consistent with their stated spending decision. One concern is that opposing mechanisms may operate simultaneously, and omitting them might inflate the weights assigned to the displayed mechanisms. To address this, we ran an additional treatment (SD-SEPA-All) in which respondents can see mechanisms associated with increasing, decreasing, and unchanged consumption, regardless of their spending response.

The spending responses in SD-SEPA-All are similar to those in SD-SEPA, which features the same change in expectations but restricts mechanisms to those aligned with spending decisions. In both treatments, most households do not change their spending, and a sizable fraction decreases spending. The average change in spending is negative and narrowly misses the 10% significance threshold ($p = 0.12$), which may reflect the smaller sample size (202 observations).

Turning to mechanisms, Table 5 reports the results of the weight allocation elicitation method. For brevity, we merge ‘no change’ and ‘same spending, different bundle’ into one ‘same’ spending category. We find that in SD-SEPA-All, the weights that respondents assign to mechanisms aligned with their spending decisions (for example, decreasing mechanisms for those who decrease spending) are similar to those in SD-SEPA across all spending-change types. For instance, in SD-SEPA, respondents who kept spending the same placed 38.22% weight on “fixed budget”; in SD-SEPA-All, respondents who kept spending the same placed 36.71% weight on “fixed budget” despite their ability to see more mechanisms. Overall, these results suggest that our original design does not distort the relative importance of mechanisms. In addition, mechanisms that are not aligned with respondents’ spending choices are not predominant, with a combined weight of about 23%.

Table 5: Weights on Mechanisms for SD-SEPA-ALL and SD-SEPA

	Increase Spending			Decrease Spending			Same Spending		
	Inter-temporal	Stockpiling	Debtor's Wealth	Saver's Wealth	Income Rigid	Inflation Hedge	Fixed Budget	Not Consid.	Liquidity
SD-SEPA; N=494									
Same (75%)							38.22 (2.32)	13.37 (1.57)	18.58 (2.36)
Decrease (21%)				23.70 (2.28)	29.23 (3.52)	11.07 (2.59)			
Increase (4%)	17.07 (7.03)	37.68 (8.75)	4.81 (2.23)						
SD-SEPA-All; N=202									
Same (62%)	3.79 (1.20)	2.90 (0.82)	0.89 (0.43)	4.30 (1.34)	5.90 (2.11)	5.00 (3.01)	36.71 (3.57)	10.37 (2.21)	10.99 (2.27)
Decrease (30%)	0.76 (0.45)	4.48 (1.96)	0.08 (0.07)	21.86 (3.81)	33.45 (4.60)	4.56 (1.82)	11.07 (2.72)	1.20 (0.78)	8.13 (3.26)
Increase (8%)	10.08 (4.47)	59.19 (14.77)	6.16 (4.10)	9.38 (7.37)	0.90 (0.92)	3.51 (2.81)	2.71 (1.45)	0.66 (0.53)	0.66 (0.53)

Notes: The table reports the demographic-adjusted weights assigned to each mechanism (columns), by treatment and spending response type (rows). For brevity, mechanisms with low importance and those classified as “other” are omitted; therefore, the weights do not sum to 100. We also merge ‘no change’ and ‘same spending, different bundle’ into a single category, ‘same spending’, indicating unchanged total spending. Robust standard errors are shown in parentheses.

Larger Increase in Expected Inflation: SD-10. When we increase short-term expectations by 10 percentage points (rather than by three), we observe similar extensive margin adjustments in consumption relative to the main treatments. That is, 76% do not change spending, 18% decrease, and 6% increase, comparable to the SD treatment with 77%, 17%, and 6%, respectively.

Regarding the quantitative effect, a 10 percentage point increase in inflation expectations results in a statistically significant reduction of 3.7% in average durable spending ($p < 0.01$). By contrast, in the SD treatment, a three percentage point increase in inflation expectations results in a statistically insignificant effect on average durable spending.

Regarding mechanisms, SD-10 exhibits a similar pattern of mechanism selection and weight allocation to SD (see Appendix Figure B9), with a comparable relative ranking of mechanisms within each consumption response category.

Supply Shock: D-Gas. This treatment examines how inflation expectations respond to an increase in gas prices and, in turn, affect durable spending. In response to a hypothetical oil production problem that will result in a 50% increase in gas prices in the year following the next three months, most households increase their inflation expectations. Specifically, 85% of respondents adjusted their one-year-ahead expectations (beyond the next three months), with a median increase of four percentage points, and 80% reported higher inflation expectations even after one year, with a median increase of two percentage points. Interestingly, the D-Gas treatment raised hypothetical inflation expectations by a similar amount to our main LD treatment. As such, we use the LD treatment as the comparison group to assess the effects of specifying the underlying shock and allowing respondents to endogenously update their inflation expectations. Because our primary interest lies in how increased inflation expectations affect spending, the following analysis is based on respondents who raised their inflation expectations.

As in the main treatments, the most common qualitative spending response is ‘no change’, followed by ‘decrease.’ Relative to the LD treatment, the share reporting decreased spending is higher in the D-Gas treatment (37% versus 21% in LD), but this does not translate into a larger change in the aggregate quantitative effect. The average dollar change in spending is significantly negative for both treatments and is slightly smaller in D-Gas (-5.7% versus -8.2% in LD). Overall, being agnostic about the source of inflation, or specifying an oil production problem, does not materially affect the aggregate response of durable spending (conditional on a similar change in inflation expectations).

Appendix Figure B10 presents the mechanisms selected and their associated weights for the D-Gas and LD treatments. In both surveys, among those who did not adjust their dollar spending, the primary reasons were “fixed budget” and “not a consideration.” For respondents who reduced their spending, “saver’s wealth effect” and “rigid income” re-

main important considerations. One difference is that “uncertainty” becomes an important concern (selected by 63% of respondents in the D-Gas treatment versus 37% in the LD treatment).

Disinflation: SD-Decrease. This robustness treatment assesses whether the consumption response is symmetric to increases versus decreases in inflation expectations. Under symmetry, relative to SD-SEPA, the SD-Decrease treatment would exhibit (i) the same share of households keeping dollar spending the same (either ‘no change’ or ‘same spending, different bundle’) and (ii) flipped shares of households choosing to increase and decrease spending. We find that the responses are not symmetric. When we increase inflation expectations by three percentage points (SD-SEPA), 75% of households maintain their spending level, 21% decrease, and 4% increase. Under symmetry and a decrease in inflation expectations of three percentage points, we would expect 75% of households to keep their spending the same, 4% to decrease, and 21% to increase. Instead, we find that, in response to a decrease in inflation expectations, 87% of households maintain their spending, 10% decrease spending, and 3% increase spending. That is, compared to what one would expect under symmetry, more households keep their spending the same or decrease it, while fewer increase spending.

Regarding the quantitative effect, the average spending change in SD-Decrease is +3.4% compared with −3.8% in SD-SEPA, which seems to suggest symmetry at first glance. However, note that the change in SD-SEPA is statistically significant, while the change in SD-Decrease is insignificant and has large error bands due to the small sample and the large variance in spending changes across respondents. A closer look reveals that the positive point estimate is driven by one respondent who substantially increased planned spending (only 27 of the 202 respondents revise their spending).

Turning to the underlying mechanisms, Appendix Figure B11 presents the mechanisms selected and their associated weights for the SD-SEPA and SD-Decrease treatments. The reasons for no change in spending are similar. “Fixed budget” is cited most often, followed by “not a consideration” and “liquidity constraints”. For the mechanisms associated with changes in spending, there is some asymmetry. Among the forces that increase spending in SD-Decrease or reduce spending in SD-SEPA, “rigid income” plays an important role in both treatments, while the weight on “saver’s wealth effect” is lower in SD-Decrease. Among the forces that decrease spending in SD-Decrease or increase spending in SD-SEPA, “stockpiling” is important in both treatments, while the weight on “intertemporal substitution” is higher in SD-Decrease.

Overall, our main results are robust to the four additional treatments. The majority of households do not change their spending in response to a change in inflation expectations, mainly because they do not consider inflation in their spending decisions or because they stick to a fixed budget. In addition, a sizable fraction of households cut spending in

response to higher inflation expectations due to negative income or wealth effects. There is preliminary evidence that the consumption response and the importance of different mechanisms may be asymmetric around the direction of change in inflation expectations.

5.2 Treatment Effects

The analysis above suggests that our main results are robust across the treatments. In this subsection, we discuss differences across the treatments. We exclude SD-Decrease and SD-SEPA-All, in which respondents were shown a different set of mechanisms. We examine treatment effects on posterior economic beliefs, spending decisions, and mechanism selection, focusing on the hypotheses discussed in Section 2. We capture treatment variation with four treatment dummy variables: long (=1 for LD, LN, and D-Gas treatments; D-Gas induces similar changes in inflation expectations to LD), SEPA (=1 for the SD/SN-SEPA treatments), large change (=1 for SD-10), and durable (=1 for treatments with durable goods). We estimate logit models for binary outcomes and OLS for continuous outcomes. In each regression, we include only those treatment variables for which theory offers a clear prediction about how they affect the given outcome variable. Overall, treatment effects are often not statistically significant; when they are significant, the estimated coefficients tend to have the expected signs. Below, we focus mainly on the findings that are statistically significant. Appendix B.9 provides additional details on the coding of the treatment dummy variables, regression specifications, and full regression results.

Regarding posterior beliefs, households in long-term treatments, relative to short-term treatments, are significantly more likely to expect a higher federal funds rate (by 10.4 percentage points), greater financial uncertainty (by 18.9 percentage points), and a weaker economy (by 23.7 percentage points). Broadly speaking, persistent increases in inflation expectations are associated with more pessimistic macroeconomic expectations. Furthermore, households in the treatment with a large change in expectations are less likely to expect their income to keep up with inflation relative to the other treatments (by 4.4 percentage points).

As for spending outcomes, households in the long-term treatments, relative to short-term treatments, are more likely to reduce spending by 8.3 percentage points. This is in line with the result that persistent inflation treatments saw a larger deterioration in expectations of other variables. Durable treatments, relative to nondurable ones, are associated with a higher probability of reducing consumption and a larger cut in dollar spending. Although the regression coefficients are not statistically significant, Figures 2 and 7 show that the effect is large enough for the average dollar change to be significantly negative in four durable treatments (LD, SD-SEPA, SD-10, and D-Gas). By contrast, the average change in dollar spending is statistically insignificant for all nondurable treatments.

The stronger reduction in durables in our survey suggests that negative income/wealth effects operate more strongly on durable spending. This is consistent with the mechanism emphasized by [Browning and Crossley \(2009\)](#): in the short run, households cut back more significantly on durable spending because the existing stock of durables continues to provide a flow of services. A complementary explanation is that nondurables—such as food, gasoline, and transportation—are closer to necessities and, therefore, harder to reduce ([Mian et al., 2013](#)).

Turning to the channels underlying each consumption response, we find several treatment differences. For ‘no change’ responses, respondents in the durable and long-term treatments are less likely to select “not a consideration” by 7.6 and 11.2 percentage points, respectively. In the large-change treatment, respondents are less likely to select “real income unchanged” by 5.5 percentage points. To assess the “liquidity constraints” channel—relevant for both ‘no change’ and ‘same spending, different bundle’—we pool these two categories and find that being in the durable treatments increases the likelihood of selecting “liquidity constraints” by 3.7 percentage points.

For ‘decrease’ responses, respondents in the long-term treatments are 25.3 percentage points more likely to select “uncertainty” as a mechanism, relative to those in the short-term treatments. This is consistent with the previous finding that long-term treatment respondents are more likely to indicate greater financial uncertainty.

For ‘increase’ responses, respondents in the durable treatments are more likely to select “stockpiling” by 30.8 percentage points as contributing to their decision to spend more, which is consistent with the theoretical prediction in [Bachmann et al. \(2015\)](#). Respondents in the long-term treatments are less likely to attribute higher spending to “nominal illusion” by 16.7 percentage points.²⁰

6 Predictors of Spending and Mechanism Selection

As we have documented, most respondents report no change in spending following the hypothetical increase in expected inflation; a sizable share report decreasing spending, and only a small share report increasing spending. At the individual level, the mechanisms respondents select vary widely, revealing substantial heterogeneity in how households map inflation expectations into spending plans. Identifying the predictors of consumption responses and the mechanisms behind them is useful for modeling heterogeneity in house-

²⁰Relative to SD/SN, respondents in the SD/SN-SEPA treatments are more likely to associate inflation with a worse economy, more likely to select “rigid income” as a decreasing mechanism, and less likely to select the “intertemporal substitution” channel as an increasing mechanism. Because the SD/SN-SEPA treatments were fielded on a different platform and at a different time, differences relative to SD/SN may not accurately reflect the difference in the way the short-run change in expected inflation is structured.

hold decision-making and for assessing the transmission of changes in expectations to aggregate demand and policy outcomes (Ilut and Valchev, 2024; Andre et al., 2025).

To explore predictors of consumption responses and mechanism weights, we conduct regressions that pool all treatments except for SD-Decrease and SD-SEPA-All. In those two treatments, respondents are shown a different set of mechanisms, so the results are not directly comparable to the other treatments. We first estimate a multinomial logit that regresses the respondent’s consumption response type on their demographic characteristics, CRT score, uncertainty about inflation expectations, financial variables, and posterior beliefs, with treatment fixed effects. For brevity, we merge ‘no change’ and ‘same spending, different bundle’ into a single ‘same dollars’ category. Table 6 reports average marginal effects for each response type. Next, conditional on a given spending response type, Table 7 reports ordinary least squares regressions of the weight each respondent assigns to a given mechanism on the same set of covariates but excluding posterior beliefs: they determine which mechanisms are shown to respondents, and including them would introduce a mechanical relationship.²¹ We report results only for the three mechanisms with the highest overall weights within each consumption response type for brevity. We highlight several observations from the individual analysis below.

First, the subjective mental models that respondents hold affect how they adjust their spending. Individuals are more likely to decrease consumption if they expect the economy to worsen, their own financial predictability to worsen, or their income to decrease in the hypothetical scenario; the coefficients on these three belief terms are large and significant. Overall, these results show that individuals who hold a stagflationary view of the economy are the most likely to reduce consumption in light of higher expected inflation. Changes in the expected federal funds rates are also predictive, but the effects differ in sign across respondents: for some, higher expected rates are associated with higher consumption, while for others, they are associated with lower consumption. This heterogeneity can be explained by differences in balance sheets. For example, respondents with savings may anticipate higher interest income and thus increase spending, whereas respondents with variable-rate debt may anticipate higher borrowing costs and tighten spending.²²

Second, some financial variables predict how respondents change their spending and mechanism weights. Regarding spending changes, having loans (auto loans and mort-

²¹For these regressions, we do not apply demographic weights; we include demographic controls.

²²To capture how the effect of a higher FFR rate depends on the household’s balance sheet through a relevant channel, we estimate OLS regressions of the weight of that channel on the same set of covariates as in Table 7, augmented with a dummy that is the product of “FFR up” with a relevant balance sheet position variable. For the “saver’s wealth effect” channel, we include a dummy equal to one if the respondent has savings and expects the federal funds rate to rise; its coefficient is negative and significant at the 10% level, suggesting that the higher FFR rate mitigates the negative wealth effect and thus boosts consumption. For the “variable-rate debt” channel, we include a dummy equal to one if the respondent has debt and expects the federal funds rate to rise; its coefficient is positive and significant at the 1% level, suggesting that the higher FFR rate leads to a stronger debt burden and thus reduces consumption.

Table 6: Average Marginal Effects on Consumption Responses

	Same Spending	Increase Spending	Decrease Spending
High cognitive	0.051*** (0.018)	0.004 (0.009)	-0.055*** (0.016)
Inflation uncertainty	0.032** (0.013)	-0.013* (0.007)	-0.019* (0.011)
College	-0.000 (0.013)	-0.004 (0.007)	0.005 (0.011)
Female	-0.050*** (0.012)	-0.001 (0.006)	0.051*** (0.011)
Age-young	-0.002 (0.017)	0.020** (0.008)	-0.018 (0.015)
Age-old	0.047*** (0.015)	-0.006 (0.008)	-0.040*** (0.013)
Income<60K	-0.008 (0.014)	0.007 (0.007)	0.001 (0.012)
Income>150K	0.043** (0.020)	0.006 (0.010)	-0.049*** (0.018)
Has savings	0.020 (0.021)	-0.011 (0.010)	-0.009 (0.019)
Has loan	-0.050*** (0.013)	0.005 (0.007)	0.044*** (0.011)
Has debt	-0.037*** (0.013)	0.006 (0.007)	0.031*** (0.012)
Has access to credit	-0.014 (0.020)	0.008 (0.010)	0.007 (0.017)
FFR: up	-0.051*** (0.013)	0.019*** (0.006)	0.032*** (0.011)
Financial uncertainty: up	-0.099*** (0.013)	0.020*** (0.007)	0.080*** (0.011)
Income: up but rigid	0.024 (0.015)	-0.006 (0.007)	-0.018 (0.013)
Income: down	-0.094*** (0.022)	0.001 (0.012)	0.093*** (0.019)
Outlook: worsen	-0.137*** (0.013)	0.012* (0.006)	0.125*** (0.012)
Observations		5497	
Pseudo R-squared		0.09	
Treatment FEs		Yes	

Notes: The table reports marginal effects from a multinomial logit regression of the consumption response on demographics, financial variables, and posterior beliefs. High cognitive equals one if a respondent answers all CRT questions correctly. Inflation uncertainty equals one if the respondent is unsure about their one-year-ahead inflation forecast. Age-young is an indicator for < 35 and age-old > 60 . Has savings indicates a liquid savings account (e.g., checking). Has loans indicates an auto or mortgage loan. Has debt indicates other liabilities such as student loans, credit card debt, or other types of debt. Has access to credit indicates having a credit card. FFR up, financial uncertainty up, income up but rigid, income down, and outlook worsen are indicators for how beliefs change in the hypothetical. Income: up but rigid indicates an expected increase in income but less than inflation. The regressions control for race and political affiliation; for brevity, these coefficients are not reported. Standard errors are in parentheses. ***, **, and * denote statistical significance at the 1, 5, and 10 percent levels, respectively.

gages) or debt (student debt, credit card debt, and other borrowing) significantly increases the chance of decreasing spending and reduces the chance of keeping spending the same. High-income households are more likely to keep spending the same (instead of decreasing). Having liquid savings (checking, savings, money market accounts, or certificates of deposit) or access to credit does not significantly affect respondents' spending changes.

For mechanisms associated with 'same spending,' we find clear heterogeneity by income and balance sheet position. High-income households tend to assign more weight to "not a consideration" and less weight to "fixed budget," whereas low-income households

Table 7: Determinants of the Weight Assigned to Each Mechanism

	Same Spending			Increase Spending			Decrease Spending		
	Fixed Budget	Not a Consid.	Liquidity Constr.	Inter-temporal	Stock-piling	Debtor	Saver	Income Rigid	Inflation Hedge
High cognitive	-4.341*** (1.548)	3.022* (1.543)	-2.036** (0.876)	3.317 (4.266)	12.676** (6.025)	-2.941 (2.266)	0.846 (2.268)	4.261 (2.675)	-2.363* (1.405)
Inflation uncertainty	-4.840*** (1.168)	1.700 (1.034)	0.001 (0.756)	-7.495*** (2.804)	-0.036 (4.468)	-3.140** (1.473)	-2.089 (1.576)	2.170 (1.881)	-3.397*** (0.988)
College	-1.264 (1.243)	0.775 (1.055)	-2.443*** (0.782)	2.642 (3.369)	1.623 (4.274)	1.223 (2.081)	0.003 (1.563)	1.503 (1.873)	0.829 (1.084)
Female	0.650 (1.163)	-4.718*** (1.014)	1.402* (0.734)	-7.519** (3.107)	5.329 (4.202)	0.074 (1.776)	-0.292 (1.472)	3.394* (1.755)	-3.160*** (1.081)
Age-young	-5.393*** (1.591)	1.074 (1.245)	3.092** (1.264)	0.322 (3.775)	5.027 (5.180)	2.525 (2.878)	3.472* (1.823)	-4.120* (2.257)	2.626* (1.450)
Age-old	-1.149 (1.411)	2.294** (1.170)	-2.916*** (0.935)	-3.628 (3.279)	-2.625 (4.421)	-3.594* (1.860)	-2.330 (1.736)	3.332 (2.109)	-2.833** (1.223)
Income<60K	5.860*** (1.343)	-7.200*** (1.138)	7.397*** (0.833)	4.914 (3.836)	-8.294* (4.839)	-1.749 (2.202)	-0.222 (1.678)	0.859 (1.987)	-1.386 (1.162)
Income>150K	-8.175*** (1.737)	5.161*** (1.858)	-0.835 (0.790)	-4.722 (3.493)	11.683* (7.014)	-1.833 (2.910)	-1.115 (2.298)	-3.188 (2.880)	3.731 (2.314)
Has savings	4.220** (2.007)	2.327 (1.475)	-6.967*** (1.772)	0.397 (4.881)	-3.360 (6.162)	2.263 (2.647)	1.574 (2.859)	3.086 (2.924)	1.634 (1.477)
Has loan	5.222*** (1.275)	-2.426** (1.063)	0.073 (0.778)	2.545 (3.130)	-2.581 (4.333)	-0.633 (1.814)	0.704 (1.500)	1.203 (1.835)	-2.438** (1.105)
Has debt	-0.731 (1.290)	-5.885*** (0.987)	11.397*** (0.927)	0.330 (2.921)	-3.223 (4.148)	0.890 (1.765)	-1.884 (1.515)	3.315* (1.802)	-3.249*** (1.048)
Has access to credit	-3.692* (1.892)	5.521*** (1.265)	-9.530*** (1.580)	-3.592 (5.271)	3.659 (6.359)	-0.105 (2.944)	-1.793 (2.602)	1.976 (2.735)	1.374 (1.707)
Observations	4059	4059	4059	300	300	300	1138	1138	1138
R-squared	0.04	0.08	0.17	0.09	0.15	0.07	0.03	0.04	0.08
Treatment FEs	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes

Notes: This table reports the OLS estimates from regressing the weights assigned to each mechanism on demographic and financial variables, conditional on the spending response. Variable definitions are the same as in Table 6. The regressions also control for race and political affiliation; for brevity, these coefficients are not reported. Robust standard errors are reported in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

do the opposite and also place more weight on “liquidity constraints.” Having savings is associated with a lower weight on “liquidity constraints” and a higher weight on “fixed budget.” Households with auto or mortgage loans assign more weight to “fixed budget” and less weight to “not a consideration.” Having other debts increases the weight on “liquidity constraints” and lowers the weight on “not a consideration.” Finally, having access to credit is associated with a lower weight on “liquidity constraints” and “fixed budget,” whereas a higher weight is placed on “not a consideration.”

For mechanisms associated with higher spending, high-income households assign greater weight to stockpiling. For mechanisms associated with lower spending, having loans or debt reduces the weight on “inflation hedge” (and having debt also increases the weight on “rigid income”).²³

Third, demographic and cognitive factors, along with uncertainty about inflation expectations, are related to how respondents explain why they do not adjust their spending.

²³Financial characteristics coefficients are sometimes insignificant when we expect otherwise. For example, having debt or loans does not predict the importance of the “debtor’s wealth effect.” A possible explanation is that posterior beliefs could interact with channel selection. For instance, expecting a higher federal funds rate could attenuate the importance of the “debtor’s wealth effect.”

Respondents who report greater uncertainty about their inflation expectations are more likely to keep their spending unchanged, consistent with a status quo approach to consumption decisions. Respondents with higher CRT scores are also more likely to maintain their spending levels and less likely to decrease spending. Conditional on choosing ‘same spending,’ respondents with higher cognitive scores and those who perceive greater inflation uncertainty place less weight on “fixed budget” and more weight on “not a consideration.” These patterns suggest that respondents who state that inflation is “not a consideration” are unlikely to do so simply because of low cognitive ability or complete neglect of inflation in consumption decisions. Instead, the evidence is more consistent with models in which respondents are aware of the effects of inflation but conclude that the costs of paying attention to inflation and making adjustments to their decisions are not worth the benefits (Weber et al., 2025; Gabaix, 2014; Andre et al., 2025). We also find gender differences in spending responses. Females are more likely to decrease spending and less likely to keep spending the same, potentially reflecting gender differences in risk-aversion or shopping experiences.

Finally, the explanatory power of standard observables remains limited. The multinomial logit yields a pseudo R^2 of 0.09, indicating that demographics, financial variables, and beliefs explain only a modest share of cross-sectional variation in response types. Likewise, while the mechanism weight regressions explain some of the variation, a large share of heterogeneity in mechanism weights remains unexplained. This aligns with recent evidence that heterogeneity in consumer behavior is difficult to predict from standard observables (Lewis et al., 2024; Andre et al., 2025). A useful direction for future work is to examine how institutional settings, economic conditions, and past experiences shape both consumption responses and the mechanisms households cite to rationalize those decisions.

7 Theoretical and Policy Implications

Standard macroeconomic models, including the canonical New Keynesian framework, emphasize intertemporal substitution but often omit cognitive, behavioral, and financial frictions. Ignoring these frictions can overstate how consumption reacts to monetary policy—especially under forward guidance or when policy seeks to operate through managing inflation expectations. In this section, we discuss which frictions should be added to bring models closer to our survey evidence and the implications for monetary policy.

Theoretical Frictions. Our results show that, in response to higher inflation expectations, most households do not change their current spending due to three primary reasons: (i) following a fixed budget; (ii) future inflation expectations do not affect current spending decisions; and (iii) liquidity or borrowing constraints. How can we incorporate these empirically important mechanisms into macro models?

Let us discuss the three aforementioned channels in turn. First, fixed budget plans could be the result of mental accounting or narrow budgeting (Thaler, 1999; Kőszegi and Matějka, 2020; Gelman and Roussanov, 2024; D’Acunto and Rossi, 2025). Second, future inflation expectations may not influence current decision making due to behavioral frictions such as myopia or present-bias, where consumers heavily discount future consumption (Hajdini, 2023; O’Donoghue and Rabin, 2015); or habit-based spending, where past consumption affects current consumption choices (Campbell and Cochrane, 1999). Cognitive constraints such as rational inattention, behavioral inattention, or near-rationality could also lead to the irrelevance of expected inflation (Gabaix, 2019; Weber et al., 2025; Pfäuti, 2023; Bracha and Tang, 2024; Andre et al., 2025). Third, many respondents stated that they did not have enough money and could not borrow to increase their spending. Models featuring illiquid assets such as housing (Kaplan et al., 2018) or borrowing constraints could capture these financial frictions. Incorporating any of these frictions into macro models will bring households’ decisions closer to reality and, in particular, mitigate the response of consumption to expected changes in inflation.

Given that about 20% of respondents decrease spending in our survey, it is also important to incorporate channels that would lead to this response. The mechanisms most frequently selected by these individuals were savers’ wealth effects, rigid income, inflation hedging, and uncertainty. While savers’ wealth effects are often incorporated into macro models, the other mechanisms are not. Most of our survey respondents do not think their income will keep up with inflation, which induces a negative wealth effect and reduces current consumption. It could be useful to incorporate upward nominal income rigidity into the theory. One recent attempt is Guerreiro et al. (2024), which constructs a model to explain why, when facing higher inflation, workers may not fight for higher wages to avoid conflicts with employers. Another channel is that households associate inflation with greater financial uncertainty and consequently reduce consumption as a precaution. This mechanism can be captured in HANK models such as Kaplan et al. (2018), which feature uninsurable income risk and incomplete markets, thus generating precautionary savings motives. Finally, it may also be useful to model households’ investment decisions to hedge against inflation.

Policy Implications. In recent recessions, central banks constrained by the zero lower bound have increasingly relied on forward guidance to communicate the future path of monetary policy with the aim of shaping expectations and, in turn, influencing current behavior. Its effectiveness, therefore, hinges on agents adjusting current choices in response to changes in economic expectations. Our survey results suggest a potential explanation for the forward guidance puzzle: households may not act upon changes in expectations as predicted by canonical New Keynesian models.

Our findings speak directly to one variant of forward guidance: using higher inflation

expectations as a policy tool (Coibion et al., 2020). The idea is that when the nominal interest rate is constrained at the zero lower bound, a central bank could stimulate spending by communicating higher future inflation, thereby lowering the expected real interest rate and, through the Euler equation, encouraging current spending. Despite discussions of this approach, it has not been tried, and some policymakers have expressed skepticism. In his 2012 “Planning for Liftoff” speech, Minneapolis Federal Reserve Bank President Narayana Kocherlakota argued: “I am doubtful about the efficacy of the inflation-based approach. I suspect that many households would believe that their wage increases would not keep up with the higher anticipated inflation rates. Those households would save more and spend less—exactly the opposite of the policy’s aim.” Consistent with this concern, our survey results (together with other evidence that households often perceive inflation as harmful) suggest that this policy may be ineffective at best—and could be counterproductive if it induces households to cut current spending.

To make forward guidance or inflation expectations based policies more effective, central banks could consider communication strategies that explicitly explain and emphasize the intertemporal substitution channel. D’Acunto et al. (2022) argue that higher inflation expectations can lead to more durable spending, but only when the intertemporal substitution channel is made salient. Specifically, they show that spending rises in response to a pre-announced value-added tax hike when the government, private sector, and media highlight the advantage of bringing forward durable purchases; by contrast, there is little response to forward guidance episodes in which the mechanisms are less salient to households. Our survey elicits the mechanisms respondents consider in the absence of detailed economic explanations. A natural direction for future work is to investigate whether providing a clear explanation of intertemporal substitution (or other channels) and emphasizing its importance changes how households think about and thus act in response to an inflation-expectations-based policy. Related evidence from Schnorpfeil et al. (2023) suggests that teaching households about the mechanisms (in their case, the debt-erosion channel) can affect beliefs and spending behavior.

8 Conclusion

This paper studies how inflation expectations affect spending plans and investigates the empirical importance of different transmission mechanisms. Using a novel survey instrument featuring hypothetical scenarios and mechanism-elicitation questions, we find that most households (73%) do not alter their current spending following an increase in expected inflation. Respondents often attribute this to following a fixed budget or to the view that future inflation does not affect their current decisions. A smaller share (22%) say they would decrease their spending in response to higher expected inflation, com-

monly due to savers' wealth effects or nominal income rigidity. Only 5% would increase their spending plans, typically citing intertemporal substitution or stockpiling. The average effect of an increase in expected inflation on spending is either not statistically significant or significantly negative, depending on the treatment; the results remain consistent across a battery of surveys designed to test their robustness.

We find that the heterogeneity in consumption responses and mechanism selection can, in part, be explained by demographic and financial status variables. Changes in beliefs about other expectations play a significant role in explaining the consumption response. Respondents who decrease their expectations about their income growth, financial predictability, and the overall economic outlook following higher inflation expectations tend to reduce their spending. Put simply, those who have a stagflationary view of the economy are more likely to cut spending in response to higher expected inflation. Financial variables can also help explain mechanism selection. For example, higher-income households place more weight on channels such as stockpiling and inflation not being a consideration, and less weight on following fixed budget plans.

Our empirical results have several implications for both policy and theory. On the policy side, the finding that households tend to keep spending unchanged or decrease spending suggests that attempting to stimulate consumption by raising inflation expectations is unlikely to be effective and could even be counterproductive. On the theory side, our results suggest incorporating elements such as myopia, habit formation, or rational inattention to capture that a majority of households do not change their spending because they either stick to a fixed budget or do not consider inflation expectations in their current spending decisions. In addition, given that a non-negligible fraction of respondents cut spending, citing rigid income, inflation hedging, and financial uncertainty, it may be useful to model these considerations. Finally, the heterogeneity in consumption responses and mechanism selection underscores the importance of modeling heterogeneity.

Our novel survey methodology can be extended to study related questions. First, while we focus on the effects of changes in inflation expectations, our framework can be adapted to study interest rate policies. For instance, one could compare how households respond to changes in nominal interest rates and inflation expectations that induce the same change in the real interest rate ([Jain and Kostyshyna, 2023](#) and [D'Acunto et al., 2023a](#) use survey data to study household responses to changes in nominal interest rates). Second, our hypotheticals feature a change in aggregate inflation. The relevance of the channels may differ if respondents instead face a hypothetical change in inflation for their own consumption baskets; future work could assess the difference between these two scenarios. Finally, we study household decisions. A similar study of firms could help identify the different channels through which inflation expectations and nominal interest rates affect firm pricing, investment, and hiring decisions.

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A Theoretical Framework

In this appendix, we develop three simple models to formalize the mechanisms outlined in Table 1. The first is a two-period deterministic model that captures all increasing and decreasing channels in Table 1, except for the “uncertainty” channel. This model can also be used to compare the response of durable and nondurable spending to a change in the real interest rate induced by a change in inflation expectations. The second is a two-period model with stochastic period-2 income to illustrate the “uncertainty” channel. The third is a three-period deterministic model that we use to compare the relative magnitude of the channels for changes in short-run and long-run inflation expectations.

Notation-wise, for level variables, we use lowercase letters to represent real variables and uppercase letters to represent nominal variables. For rates, we use a lowercase letter to denote the net rate and an uppercase letter to denote the gross rate.

A.1 Two-Period Deterministic Model

Agents live for two periods $t = 1, 2$. Utility is time-separable. The household solves the following optimization problem:

$$\begin{aligned} \max_{c_t, d_t, S, k} \quad & U_1(c_1, d_1) + U_2(\delta_c c_1 + c_2, \delta_d d_1 + d_2) \\ \text{s.t.} \quad & P_1(c_1 + d_1 + k) + S = Y_1, \\ & P_2(c_2 + d_2) = (1 + i)S + P_2f(k) + (1 + g)Y_1 - (1 + i_B)B, \end{aligned}$$

where c_t and d_t are, respectively, real nondurable and durable spending in period t . The household can choose S nominal savings earning a nominal interest rate of i . It can also invest in a real asset k (e.g., capital) that yields $f(k)$ units of goods in period 2. We assume $f(0) = 0$, $f' > 0$, $f'(0) = \infty$, $f'(\infty) = 0$ and $f'' < 0$. The household also has prearranged nominal borrowing/debt B (or a nominal asset position if $B < 0$) due in period 2 at a nominal interest rate of i_B . Nominal income grows at g from period 1 to 2. Finally, we assume that the goods are storable: a fraction $\delta_c \in [0, 1]$ of nondurable purchases and $\delta_d \in (0, 1]$ of durable purchases carry over into period 2, with $\delta_d > \delta_c \geq 0$, reflecting the greater storability of durables.

The gross inflation rate is $1 + \pi = P_2/P_1$, and the gross real interest rate is

$$R = \frac{1 + i}{1 + \pi}.$$

The solutions $(c_1, d_1, c_2, d_2, S, k)$ are characterized by the two period budget constraints

and

$$\frac{\partial U_1}{\partial c_1} / \frac{\partial U_2}{\partial c_2} = R - \delta_c \quad (1)$$

$$\frac{\partial U_1}{\partial d_1} / \frac{\partial U_2}{\partial d_2} = R - \delta_d \quad (2)$$

$$\frac{\partial U_2}{\partial c_2} = \frac{\partial U_2}{\partial d_2} \quad (3)$$

$$f'(k) = R \quad (4)$$

Combine the two budget constraints into a single intertemporal budget constraint by substituting S :

$$c_1 + d_1 + \frac{c_2 + d_2}{R} = Y_1 + \frac{f(k)}{R} - k + \frac{1+g}{1+i}Y_1 - \frac{1+i_B}{1+i}B$$

For the discussion of various wealth effects, we fix R , and it is useful to rewrite the intertemporal budget constraint as:

$$c_1 + d_1 + \frac{c_2 + d_2}{R} = Y_1 + \frac{f(k)}{R} - k + \frac{1+g}{R(1+\pi)}Y_1 - \frac{1+i_B}{R(1+\pi)}B.$$

Using this framework, we can now illustrate the channels associated with an increase and a decrease in spending.

A.1.1 Increased Spending Channels

- To capture “intertemporal substitution” and “stockpiling,” we can use equations (1) to (3) and $U_1(c_1, d_1) + U_2(\delta_c c_1 + c_2, \delta_d d_1 + d_2) = \bar{U}$ to solve for (c_1, d_1, c_2, d_2) . As π increases, if the nominal interest rate responds sluggishly, the real interest rate, R , decreases. It can be shown that c_1 and d_1 increase in response.
- “Flexible income” can be described by $\Delta g > \Delta \pi$. If π rises, but income growth g rises even faster, the present-value of lifetime wealth rises. This will result in an increase in current consumption of both types of goods (c_1 and d_1).
- “Nominal illusion” works as a perceived “flexible income.”
- “Debtor’s wealth effect” can be represented by $B > 0$. If π rises and nominal debt outstanding is greater than zero, then the present-value of period 2’s debt repayment decreases. In other words, the present-value of lifetime wealth rises, and so current consumption of both types of goods (c_1 and d_1) increases.

A.1.2 Decreased Spending Channels

- “Saver’s wealth effect” can be represented by $B < 0$. If π rises and the agent holds savings between periods 1 and 2, then the present-value of the period 2 savings decreases. In other words, the present-value of lifetime wealth falls, and so current consumption of both types of goods (c_1 and d_1) decreases.
- “Inflation hedge” is captured by the result that k increases when higher inflation

induces a decrease in R . Note that this channel acts only when the wealth effect dominates—so that k crowds out current spending.

- “Rigid income” can be represented by $\Delta g < \Delta \pi$. If π rises and income growth g does not keep up, the present-value of lifetime wealth falls. This will result in a decrease in current consumption of both types of goods (c_1 and d_1).
- “Variable debt” can be represented by $B > 0$ and an increase in i_B , which will decrease the present-value of lifetime wealth and current consumption.

A.1.3 Durable v.s. Nondurable

Note that, similar to [Bachmann et al. \(2015\)](#), we have

$$\frac{\partial U_1}{\partial c_1} / \frac{\partial U_1}{\partial d_1} = \frac{R - \delta_c}{R - \delta_d}.$$

As R decreases due to higher inflation, the intertemporal substitution effect and the stockpiling effect induce both c_1 and c_2 to decrease. In addition, under certain assumptions about preferences, such as a log-log specification, the equation above implies that the ratio of d_1/c_1 would increase, or that the response of durable goods is stronger. So, in theory, the two increasing channels, “intertemporal substitution” and “stockpiling” are stronger for durable goods. “Inflation hedge,” which is a decreasing channel, is weaker for durables. For this channel to work, the wealth effect must be strong enough so that c_1 and d_1 decrease. The stronger substitution effect for durables offsets the negative wealth effect, resulting in a weaker response. Intuitively, durables have greater storability and therefore are a better hedge against inflation.

A.2 Two-Period Model with Uncertainty

Now we propose a two-period model to illustrate the “uncertainty channel.” For this purpose, it is sufficient to use a model with real variables. For simplicity, we do not distinguish between durable and nondurable consumption, and c now denotes total real consumption. To solve for the consumption policy function explicitly, we assume CARA period utility $u(c) = -e^{-c}$. Uncertainty manifests as stochastic period-2 income, which follows a normal distribution:

$$y_2 \sim \mathcal{N}(\bar{y}, \sigma^2).$$

Households solve the problem:

$$\max_{c_1, s} u(c_1) + \mathbb{E}[u(c_2)] \tag{5}$$

$$\text{s.t. } c_1 + s = y_1, \tag{6}$$

$$c_2 = y_2 + Rs. \tag{7}$$

The first-order condition (Euler equation) is

$$u'(c_1) = R \mathbb{E}[u'(c_2)].$$

Since $u'(c) = e^{-c}$, this becomes

$$e^{-c_1} = R \mathbb{E}[e^{-c_2}]. \tag{8}$$

Using the budget constraints, we have

$$\begin{aligned}\mathbb{E}[e^{-c_2}] &= e^{-Rs} \mathbb{E}[e^{-y_2}] \\ &= e^{-Rs} e^{-\bar{y} + \sigma^2/2}\end{aligned}$$

Taking the logs and rearranging, we have

$$c_1^* = \frac{Ry_1 - \ln R + \bar{y} - \sigma^2/2}{1 + R}. \quad (9)$$

If households associate higher inflation with higher income uncertainty, they will increase precautionary saving and lower current consumption; this captures the “uncertainty channel.”

A.3 Three-Period Model

Finally, we outline a simple three-period model to illustrate how changes in short-term and long-term inflation expectations affect spending.

There are three dates, $t = 1, 2, 3$, with changes from period 1 to 2 representing the short term and changes from period 2 to 3 representing the long term. The price level in period 1 is normalized at 1, and P_2 and P_3 are the price levels in periods 2 and 3, respectively. Let S_t be the nominal savings, and i_t be the net nominal interest rates from period t to $t+1$, for $t \in 1, 2$. Prearranged nominal borrowing is denoted as B_2 (due in period 2) and B_3 (due in period 3); negative values represent savings. The household's choice problem is:

$$\begin{aligned}\max_{c_1, c_2, c_3, s_1, s_2} \quad & U(c_1, c_2, c_3) = u(c_1) + u(c_2) + u(c_3) \\ \text{s.t.} \quad & c_1 + S_1 = Y_1 \\ & P_2 c_2 + S_2 = Y_2 - B_2 + (1 + i_1) S_1 \\ & P_3 c_3 = Y_3 - B_3 + (1 + i_2) S_2\end{aligned}$$

We combine the three budget constraints into the intertemporal budget constraint:

$$(1 + i_1)(1 + i_2)c_1 + (1 + i_2)P_2c_2 + P_3c_3 = (1 + i_1)(1 + i_2)Y_1 + (1 + i_2)(Y_2 - B_2) + Y_3 - B_3.$$

Define $R_1 = (1 + i_1)/P_2$ and $R_2 = (1 + i_2)P_2/P_3$. We can rewrite the intertemporal budget constraint as,

$$c_1 + \frac{c_2}{R_1} + \frac{c_3}{R_1 R_2} = Y_1 + \frac{Y_2 - B_2}{P_2 R_1} + \frac{Y_3 - B_3}{P_3 R_1 R_2} \quad (10)$$

The Euler equations are

$$\frac{u'(c_1)}{u'(c_2)} = \frac{1 + i_1}{P_2} = R_1 \quad (11)$$

$$\frac{u'(c_1)}{u'(c_3)} = \frac{(1 + i_1)(1 + i_2)}{P_3} = (1 + i_1)(1 + i_2) \frac{1}{P_2} \frac{P_2}{P_3} = R_1 R_2. \quad (12)$$

The Euler equations capture the intertemporal substitution of time dated consump-

tion. Fixing the nominal interest rate, c_1 is higher relative to c_2 and c_3 if expected inflation $\pi_1 = P_2 - 1$ and/or $\pi_2 = P_3/P_2 - 1$ is higher. Assume $u(c)$ is CRRA; i.e., $u(c) = c^\eta/\eta$ with $\eta < 1$. Then $u'(c) = c^{\eta-1}$, and

$$c_2 = [(1 + i_1)(1/P_2)]^{\frac{1}{1-\eta}} c_1 = R_1^{\frac{1}{1-\eta}} c_1$$

$$c_3 = [(1 + i_1)(1 + i_2)(P_1/P_3)]^{\frac{1}{1-\eta}} c_1 = (R_1 R_2)^{\frac{1}{1-\eta}} c_1.$$

We can solve for c_1 by plugging c_2 and c_3 into the intertemporal budget constraint (10).

Appendix Table A1: Price Trajectories in Main Treatments

Initial Price	Price in Hypothetical Scenario		
	SD/SN	SD/SN-SEPA	LD/LN
P_2	γP_2	γP_2	γP_2
P_3	P_3	γP_3	$\gamma^2 P_3$

Notes: (1) The price level in period 1 is normalized to 1. (2) γ is the gross expected increase in inflation and in our main treatments is 1.03.

We can represent our six main treatments in Table A1 and derive the following results regarding the relative strength of the channels across these treatments.

- For the three wealth effect channels, “rigid income,” “saver’s wealth effect,” and “debtor’s wealth effect,” fix the real returns R_1 and R_2 , and the nominal incomes Y_2 and Y_3 . The different treatments involve different changes in P_2 and P_3 , as shown in Table A1. From (10), current consumption c_1 decreases with both P_2 and P_3 , so the strength of this channel is ranked as: LD (LN) > SD-SEPA (SN-SEPA) > SD (SN).
- For the two substitution effect channels, “intertemporal substitution” and “stock-piling,” we can use equations (11) and (12) together with $u(c_1) + u(c_2) + u(c_3) = \bar{U}$ to solve (c_1, c_2, c_3) as functions of R_1 and R_2 . It can be shown that the strength of the channels is ranked as: LD (LN) > SD-SEPA (SN-SEPA) > SD (SN).

B Additional Tables and Figures

B.1 Demographics

Data Cleaning. We removed all incomplete responses and responses with identical IP addresses. Then, we checked for straight-lining, whereby respondents consistently selected the first or last option; we found no evidence of this behavior. Next, we excluded respondents who did not provide relevant reasoning in the open-text box. Each open-text response was reviewed and designated as low, medium, or high quality. Low quality responses included answers such as “4”, “very nice”, or “searyha<rg.” We removed responses if any co-author labeled them as low quality. Finally, two observations with extremely high prior monthly spending (\$100,000 and \$250,000) in the main experiment were discarded as outliers. We also removed three observations with negative posterior spending in the main treatments.

Table B1 presents the demographic and financial characteristics of respondents and compares them with their U.S. adult population counterparts for our main and robustness treatments, respectively.

Appendix Table B1: Survey Participants and the U.S. Adult Population

Panel A: Main Treatments	SD	SN	LD	LN	SD-SEPA	SN-SEPA	U.S. Pop.
Demographics:							
Age	60.97	61.37	58.41	59.85	38.31	37.97	47.96
White	0.85	0.92	0.89	0.90	0.68	0.63	0.64
Female	0.51	0.55	0.56	0.53	0.49	0.48	0.51
4-Year College Degree	0.52	0.53	0.50	0.49	0.57	0.59	0.33
Married	0.65	0.63	0.61	0.63	0.50	0.47	0.53
Northeast	0.21	0.26	0.21	0.21	0.17	0.15	0.18
Midwest	0.18	0.21	0.22	0.26	0.18	0.20	0.21
South	0.40	0.38	0.41	0.39	0.39	0.40	0.38
West	0.21	0.15	0.15	0.14	0.26	0.24	0.23
Financial Characteristics:							
Household Income < 50k	0.35	0.40	0.43	0.37	0.36	0.36	0.39
Household Income 50k–100k	0.36	0.33	0.33	0.31	0.33	0.34	0.30
Household Income > 100k	0.29	0.27	0.24	0.31	0.31	0.30	0.31
Observations	504	504	497	498	494	500	
Panel B: Robustness Treatments	SD-10	D-Gas	SD-SEPA-All	SD-Decrease	U.S. Pop.		
Demographics:							
Age	60.29	46.10	43.28	42.40	47.96		
White	0.84	0.66	0.77	0.72	0.64		
Female	0.54	0.50	0.50	0.46	0.51		
4-Year College Degree	0.52	0.57	0.52	0.59	0.33		
Married	0.57	0.55	0.57	0.58	0.53		
Northeast	0.20	0.18	0.17	0.16	0.18		
Midwest	0.22	0.15	0.18	0.18	0.21		
South	0.38	0.43	0.46	0.45	0.38		
West	0.20	0.23	0.19	0.21	0.23		
Financial Characteristics:							
Household Income < 50k	0.41	0.37	0.36	0.35	0.39		
Household Income 50k–100k	0.33	0.33	0.38	0.40	0.30		
Household Income > 100k	0.25	0.30	0.26	0.24	0.31		
Observations	2005	495	202	202			

Notes: Table compares survey participants to the U.S. adult population. U.S. figures are from ACS 2021.

B.2 Prior Expectations for All Treatments

Tables B2 through B6 in this subsection summarize the prior beliefs of respondents in each of our surveys. Figure B1 present the density distributions of inflation expectations and prior spending in each of our surveys. Given that the surveys were conducted in different months, we report summary statistics by survey month.

We compare prior inflation expectations and prior average monthly spending (from the tables below) to benchmarks in the Michigan Survey of Consumers (MSC) and the Consumer Expenditure Survey (CEX), respectively.

The MSC median one-year inflation expectations vary between 2.8% and 4.8% in the months we run our survey. The median one-year inflation expectations in our surveys are similar and range from 2.5% to 4%.

The CEX does not classify spending categories into durables and nondurables, so we construct a classification consistent with our survey definition. In the CEX, we treat nondurables as: food, alcoholic beverages, apparel and services, housekeeping supplies, gasoline and other fuels, public and other transportation, personal care products and services, and tobacco products and smoking supplies. We treat durables as: household furnishings and equipment, vehicle purchases, vehicle leases, vehicle financing, and vehicle maintenance. We exclude: shelter, utilities, household operations, healthcare, insurance, entertainment, reading, education and miscellaneous, which were not explicitly mentioned

in our definitions and are therefore unlikely to be reported by respondents. Using this classification, the average monthly durable and nondurable spending in the 2023 CEX was \$843 and \$1,549, respectively.

In our surveys, median prior durable spending varies between \$536 and \$791 (64% and 94% of CEX durable spending), and the median prior nondurable spending varies between \$858 and \$1,101 (55% and 71% of CEX nondurable spending). Thus, respondents recall more than half of spending but underestimate spending relative to the CEX. This pattern likely reflects differences in elicitation methods: the CEX combines recall-based interviews (covering large and regular purchases) with diary surveys (recording day-to-day expenditures in narrow categories), whereas our survey relies exclusively on recall and elicits broad-category totals, which may lead respondents to omit some outlays. Consistent with this interpretation, recall-based surveys have been shown to understate spending ([Battistin and Padula, 2010](#)).

Appendix Table B2: Descriptive Statistics for Prior Expectations of SD, SN, LD, and LN (Late February 2023 and March 2023)

	N	Mean	SD	Median
(A) Price Change (%)				
over the next 3 months	2003	6.41	13.08	2.50
over the 12 months following the next 3 months	2003	7.83	15.77	4.00
over the 10 years following the next 3 months	2003	6.41	17.63	2.00
(B) Household Spending (\$)				
durable goods per month over the next 3 months	1001	535.86	1725.25	167.00
nondurable goods per month over the next 3 months	1002	857.59	1117.46	500.00
(C) FFR (%)				
over the 12 months following the next 3 months	1008	8.02	16.95	5.00
over the 10 years following the next 3 months	995	8.90	19.36	5.00
(D) Income Growth Rate (%)				
over the 12 months following the next 3 months	1005	7.58	17.40	3.00
over the 10 years following the next 3 months	995	6.80	15.93	2.00
(E) Household Financial Uncertainty				
over the 12 months following the next 3 months	1008	0.75	0.44	1.00
over the 10 years following the next 3 months	995	0.88	0.32	1.00

Notes: This table presents moments of various expectations observed prior to the hypothetical scenario module. For “household financial uncertainty,” responses indicating perceptions of “very difficult” or “moderately difficult” to predict are classified as one. Regarding expected household income growth rate over the 12 months following a three-month period, we exclude three observations exceeding a value of 5,000 due to their extreme nature.

Appendix Table B3: Descriptive Statistics for Prior Expectations of SD-10
(December 2023)

	N	Mean	SD	Median
(A) Price Change (%)				
over the next 3 months	2003	5.20	12.24	2.00
over the 12 months following the next 3 months	2004	6.44	14.41	3.00
over the 10 years following the next 3 months	2002	5.29	12.36	2.00
(B) Household Spending (\$)				
durable goods per month over the next 3 months	2005	679.65	2174.68	167.00
(C) FFR (%)				
over the 12 months following the next 3 months	2005	7.41	12.02	5.00
(D) Income Growth Rate (%)				
over the 12 months following the next 3 months	2005	6.81	16.86	3.00
(E) Household Financial Uncertainty				
over the 12 months following the next 3 months	2005	0.80	0.40	1.00

Notes: This table presents moments of various expectations observed prior to the hypothetical scenario module. For “household financial uncertainty,” responses indicating perceptions of “very difficult” or “moderately difficult” to predict are classified as one. Regarding price expectations, we omit two, one, and three subjects, respectively, for different horizons, whose expected price changes exceed 200%.

Appendix Table B4: Descriptive Statistics for Prior Expectations of SD-SEPA and SN-SEPA (March 2024)

	N	Mean	SD	Median
(A) Price Change (%)				
over the next 3 months	994	2.64	5.44	1.00
over the 12 months following the next 3 months	994	4.24	7.69	3.00
over the 9 years following the next year and 3 months	994	3.46	7.01	2.22
(B) Household Spending (\$)				
durable goods per month over the next 3 months	494	704.72	2855.40	200.00
nondurable goods per month over the next 3 months	500	1100.68	1174.09	750.00
(C) FFR (%)				
over the 12 months following the next 3 months	994	5.55	3.13	5.33
(D) Income Growth Rate (%)				
over the 12 months following the next 3 months	993	7.70	26.80	3.00
(E) Household Financial Uncertainty				
over the 12 months following the next 3 months	994	0.70	0.46	1.00

Notes: This table presents moments of various expectations observed prior to the hypothetical scenario module. For “household financial uncertainty,” responses indicating perceptions of “very difficult” or “moderately difficult” to predict are classified as one.

Appendix Table B5: Descriptive Statistics for Prior Expectations of D-Gas
(December 2024)

	N	Mean	SD	Median
(A) Price Change (%)				
over the next 3 months	495	2.04	6.03	1.00
over the 12 months following the next 3 months	495	3.15	9.30	3.00
over the 9 years following the next year and 3 months	495	2.77	7.22	2.00
(B) Household Spending (\$)				
durable goods per month over the next 3 months	495	675.66	3481.11	200.00
(C) FFR (%)				
over the 12 months following the next 3 months	495	4.82	3.24	4.60
(D) Income Growth Rate (%)				
over the 12 months following the next 3 months	495	7.02	20.16	3.00
(E) Household Financial Uncertainty				
over the 12 months following the next 3 months	495	0.74	0.44	1.00

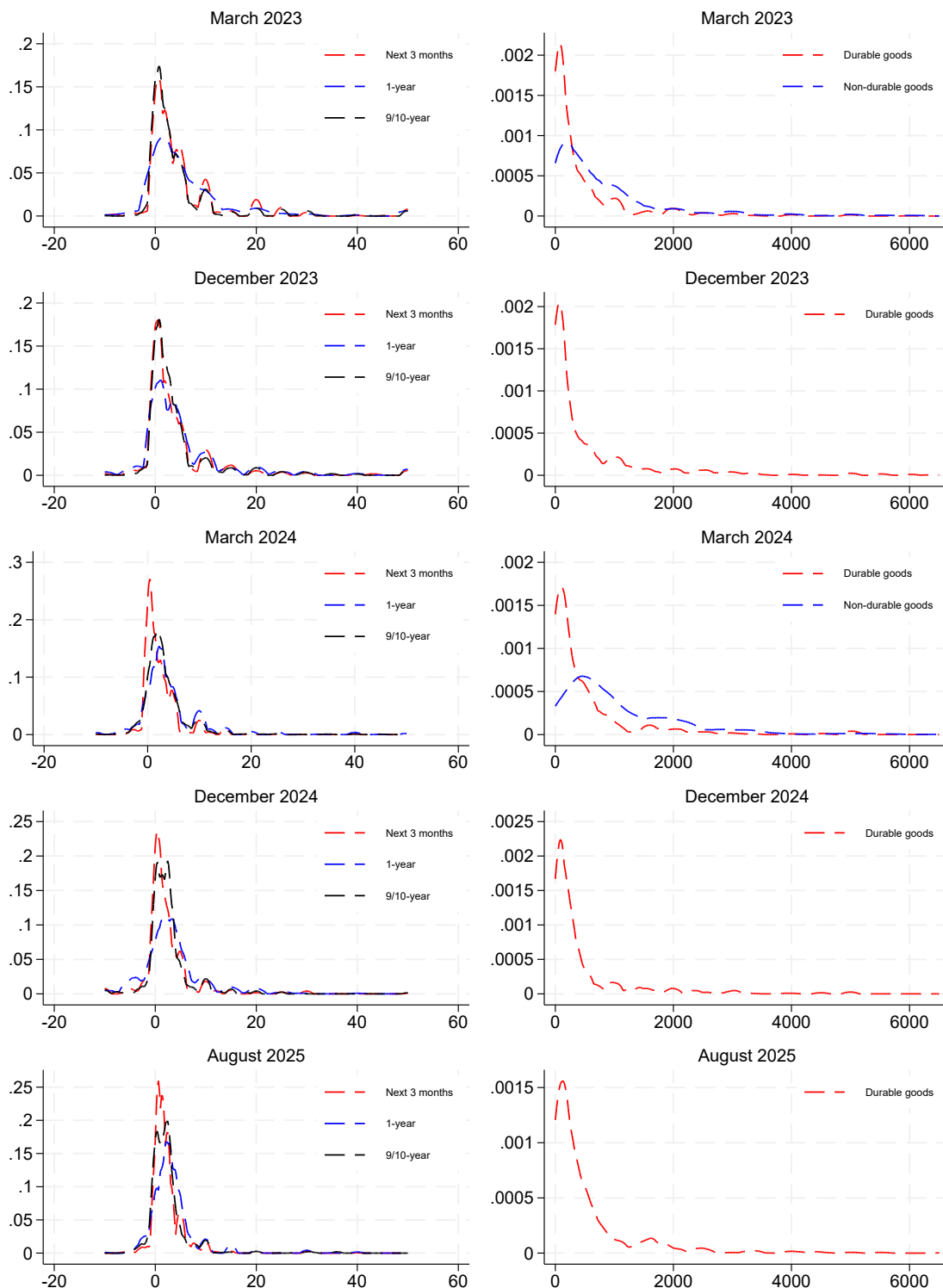
Notes: This table presents moments of various expectations observed prior to the hypothetical scenario module. For “household financial uncertainty,” responses indicating perceptions of “very difficult” or “moderately difficult” to predict are classified as one.

Appendix Table B6: Descriptive Statistics for Prior Expectations of SD-SEPA-All and SD-Decrease (August 2025)

	N	Mean	SD	Median
(A) Price Change (%)				
over the next 3 months	404	2.73	7.23	2.00
over the 12 months following the next 3 months	404	3.37	9.15	2.50
over the 9 years following the next year and 3 months	404	2.48	4.24	2.00
(B) Household Spending (\$)				
durable goods per month over the next 3 months	404	790.56	3609.88	250.00
(C) FFR (%)				
over the 12 months following the next 3 months	404	4.24	2.99	4.00
(D) Income Growth Rate (%)				
over the 12 months following the next 3 months	404	5.28	13.88	2.00
(E) Household Financial Uncertainty				
over the 12 months following the next 3 months	404	0.75	0.43	1.00

Notes: This table presents moments of various expectations observed prior to the hypothetical scenario module. For “household financial uncertainty,” responses indicating perceptions of “very difficult” or “moderately difficult” to predict are classified as one.

Appendix Figure B1: Distributions of Inflation Expectations (Left) and Prior Spending Expectation (Right)



Notes: The left column plots the density distributions of expected price changes across three distinct time horizons: the next three months, one year after the next three months, and a nine/ten-year annualized forecast following the initial three months. The expectations about price are restricted to the range between -10% and 50%. The right column plots the distributions of prior spending plans on durable and nondurable goods for the next three months. The right column is restricted to the range between 0 and 6500, which corresponds to the 99th percentile. For both plots, densities are computed using the Epanechnikov kernel.

B.3 Spending Response

Appendix Table B7: Spending Changes, Unconditional and Conditional

Dollar Spending	(1) SD	(2) SN	(3) LD	(4) LN	(5) SD-SEPA	(6) SN-SEPA
Unconditional						
Prior Spending	533.10	888.46	538.75	831.72	704.72	1100.68
ΔC	11.59	-6.40	-44.27**	-16.35	-27.08**	-24.89
$100 \times \Delta C / \text{Prior}$	2.17	-0.72	-8.22	-1.97	-3.84	-2.26
N	504	504	497	498	494	500
Conditional on $\Delta C > 0$						
Prior Spending	1716.13	1073.16	640.60	713.77	711.85	1888.54
ΔC	765.89	734.52*	168.41***	445.79	355.49**	716.91**
$100 \times \Delta C / \text{Prior}$	44.63	68.44	26.29	62.46	49.94	37.96
N	28	30	30	23	27	23
Conditional on $\Delta C < 0$						
Prior Spending	577.17	928.45	637.33	1019.18	702.32	1085.66
ΔC	-192.01***	-190.76***	-259.88***	-235.17***	-200.28***	-264.44***
$100 \times \Delta C / \text{Prior}$	-33.27	-20.55	-40.78	-23.07	-28.52	-24.36
N	81	117	105	91	111	111

Notes: For each treatment, the table reports the average initial dollar spending (Prior Spending) and average change in dollar spending (ΔC), across respondents. It also reports percent changes in spending ($100 \times \Delta C / \text{Prior}$) calculated as the average change in spending divided by the average prior spending. Each panel also includes the number of respondents in each treatment. The top panel reports unconditional values, the middle panel conditions on respondents increasing consumption, and the bottom panel conditions on a decrease in consumption. The row " ΔC " also indicates whether the change in consumption is significantly different from zero. ***, **, * denotes statistical significance at 1, 5, and 10 percent levels, respectively.

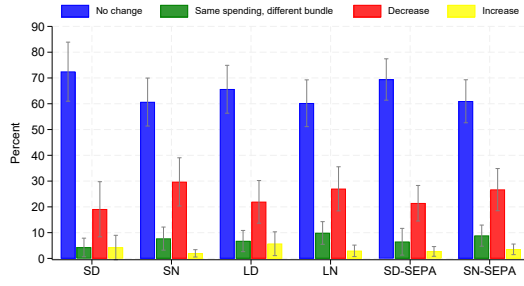
Appendix Table B8: Spending Changes, Robustness Treatments

Dollar Spending	(1) SD-10	(2) D-Gas	(3) SD-SEPA-All	(4) SD-Decrease
Prior Spending	679.65	682.83	886.15	681.09
ΔC	-25.38***	-39.02***	-36.55	23.34
$100 \times \Delta C / \text{Prior}$	-3.73	-5.71	-4.12	3.43
N	2,005	495	202	202

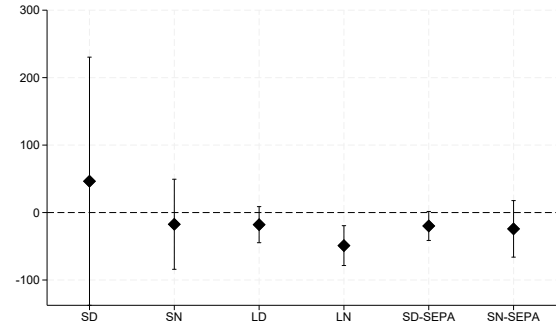
Notes: For each treatment, the table reports the average initial dollar spending (Prior Spending) and average change in dollar spending (ΔC), across respondents. It also reports percent changes in spending ($100 \times \Delta C / \text{Prior}$) calculated as the average change in spending divided by the average prior spending. Each panel also includes the number of respondents in each treatment. The row " ΔC " also indicates whether the change in consumption is significantly different from zero. ***, **, * denotes statistical significance at 1, 5, and 10 percent levels, respectively.

B.4 Robustness: Subgroup Analysis

While our main treatments find pervasive no change in spending and no positive effect on spending, certain subgroups may be more likely to adjust their spending. For example, individuals with better literacy regarding inflation may respond more strongly to changes in inflation expectations (Bachmann et al., 2015; D'Acunto et al., 2021). Individuals with higher cognitive ability (D'Acunto et al., 2023b) may also be more responsive, as



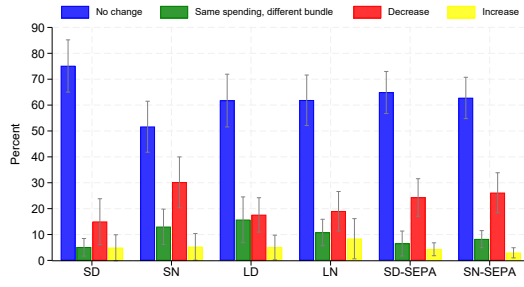
(a) Extensive Margin (Percentage)



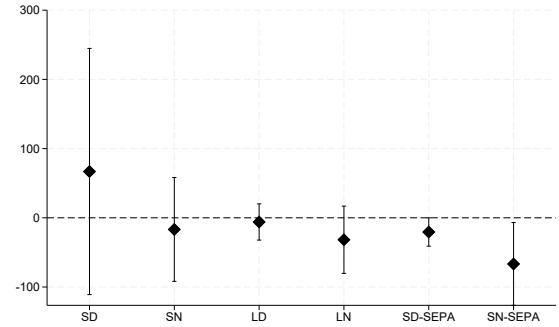
(b) Quantitative Effect (Dollar Change)

Appendix Figure B2: Spending Response for Respondents with Past Inflation Perception Error Below Median

Notes: Panel (a) plots the proportion of participants from each treatment group that reported each qualitative response (extensive margin). Panel (b) plots the average quantitative change in dollar spending for each treatment group. The bars indicate 95% confidence intervals.



(a) Extensive Margin (Percentage)



(b) Quantitative Effect (Dollar Change)

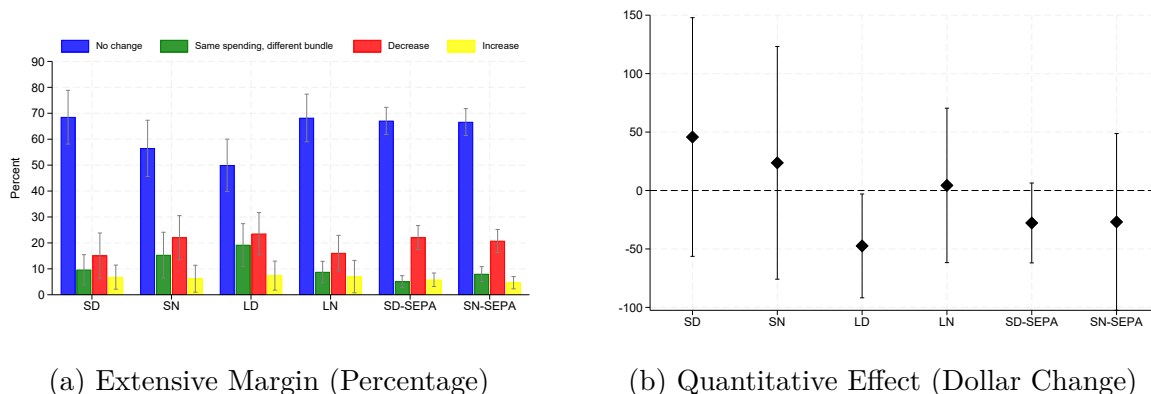
Appendix Figure B3: Spending Response for Respondents with One-Year Inflation Forecast Error Below Median

Notes: Panel (a) plots the proportion of participants from each treatment group that reported each qualitative response (extensive margin). Panel (b) plots the average quantitative change in dollar spending for each treatment group. The bars indicate 95% confidence intervals.

they better understand intertemporal substitution. In addition, younger households may adjust consumption more frequently than older cohorts. We therefore conduct subgroup analyses along these dimensions to examine whether spending adjustments are more pronounced for these groups.

Spending Responses for Respondents with Higher Inflation Literacy. First, we focus on the spending behavior of individuals with more accurate inflation beliefs (see Figures B2 and B3). We define this group using two different definitions: (i) their absolute error in perceived inflation over the past year is below the sample median or (ii) their absolute forecast error for inflation over the next year is below the sample median. Regardless of the definition we use, we find that a large fraction of individuals with more accurate inflation beliefs, do not adjust their spending, as in the full sample. Moreover, we do not find any significant positive changes in spending in any category.

Spending Responses for Different Age Groups. Next, we investigate whether the main results persist in the younger sample. Older respondents might respond to higher inflation differently from younger respondents, as their needs and planning horizons may differ. We report the spending responses for respondents younger than 55 years of age. The results are consistent with our main findings. For example, 70% of those under 55 years of age chose not to modify their spending levels, compared to 64% in the full sample (see Figure B4).



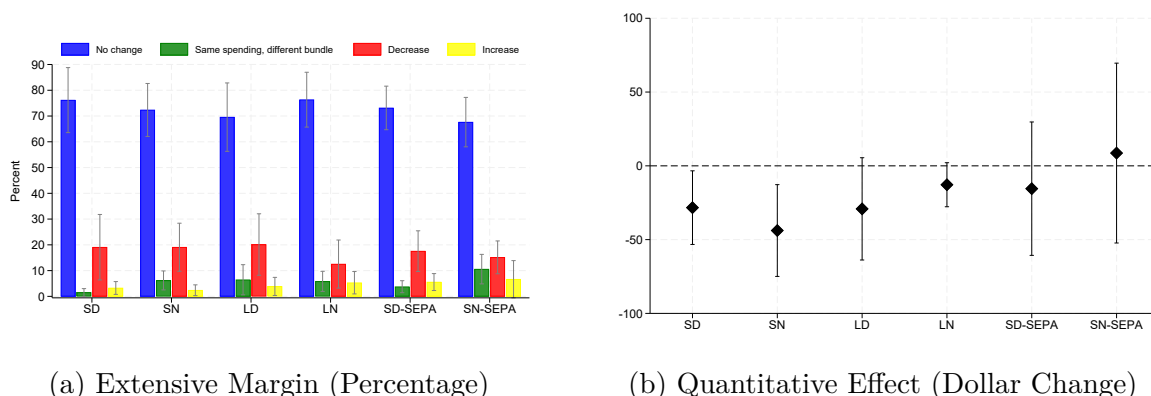
(a) Extensive Margin (Percentage)

(b) Quantitative Effect (Dollar Change)

Appendix Figure B4: Spending Response for Respondents with Age under 55

Notes: Panel (a) plots the proportion of participants from each treatment group that reported each qualitative response (extensive margin). Panel (b) plots the average quantitative change in dollar spending for each treatment group. The bars indicate 95% confidence intervals.

Spending Responses for Different CRT Score Groups. D'Acunto et al. (2023b) suggests that people with higher IQ scores, who tend to have more accurate expectations about inflation, are generally more inclined to modify their purchasing plans in light of changes in inflation. To investigate this, we use CRT scores as a proxy for IQ and focus on individuals with high CRT scores (those who correctly answered two or three questions). Most of the high-CRT group chose not to adjust their spending (see Figure B5a), which is consistent with the sample as a whole.



(a) Extensive Margin (Percentage)

(b) Quantitative Effect (Dollar Change)

Appendix Figure B5: Spending Response for Respondents with High CRT Score

Notes: Panel (a) plots the proportion of participants from each treatment group that reported each qualitative response (extensive margin). Panel (b) plots the average quantitative change in dollar spending for each treatment group. The bars indicate 95% confidence intervals.

B.5 Additional Survey to Test ‘No Change’ Bias

Survey Design and Implementation. We conducted two abbreviated SD treatments to examine whether our design induced a ‘no change’ bias. In these surveys, we did not collect any beliefs about household income growth, the fed funds rate, or household financial uncertainty, before or after the treatment. Otherwise, the survey adhered to the original design until the section where respondents were prompted for their spending plan in the hypothetical scenario. At this point, respondents were randomized into two versions of the survey. In one survey, we retained our original approach; in the other, we immediately asked for the revised spending (*“Earlier, we asked you about your spending plan on durable goods over the next 3 months. You told us that you plan to spend \$X on average per month. In response to the change in your expectations about future prices after the next 3 months (see table below for a recap), how much do you now plan to spend on average per month on durable goods over the next 3 months? You may change your plan or keep it the same.”*). We then asked open-ended questions regarding their reasoning and standard demographic questions. We recruited about 100 respondents for each approach via Prolific in February 2024.

Results. The original method resulted in 75% of participants opting to make ‘no change’, 8% choosing ‘the same spending, different bundle’, 6% indicating an ‘increase’, and 12% a ‘decrease’. In contrast, using the alternative approach, 67% of respondents maintained their spending level, 22% increased their spending, and 11% reduced their spending. Notice that the majority of respondents kept their spending constant across both methodologies. While the incidence of spending increases was higher with the new approach, half of the ‘increase’ responses could be attributed to respondents mechanically adjusting their nominal spending, as inferred from open-ended responses. In terms of the average quantitative effect on spending, we found that with the new method average spending increased by \$2, compared to a \$4 increase observed with the original method. Note that for these comparisons we did not use demographic weighting.

B.6 Word Clouds

Next, we present word clouds of commonly-used words in the open-text box responses (Figure B6). We pool across all treatments excluding the treatment where we decrease inflation expectations (SD-Decrease). Each panel uses the open-text boxes of a subset of respondents based on their qualitative spending choice.

In the text analysis, punctuation was removed, all letters were made lowercase, and all words were lemmatized. Additionally, words associated with the hypothetical scenario, words associated with estimations, connector words, as well as some other uninformative words were removed. These subjective choices are detailed in Table B9. Finally, 179 common stop words were removed such as “and,” “but,” “the,” “not,” “no,” and “a.”

Figure B6a presents the word cloud for respondents who made no spending changes. Words such as “fix,” “budget,” and “habit” appear in the top 30 words used by respondents, indicating that many respondents were already thinking about a “fixed budget,” even before seeing the list of mechanisms. There is also evidence of current spending being a “necessity” “regardless” of future inflation and “cost”.

Figure B6b shows the most common words used by individuals who kept their spending the same, but changed their bundle. Consistent with our reading of the open-text boxes, respondents were thinking about their spending plan and using words such as “amount,” “budget,” and “fix” often. Individuals also noted they would keep their spend-

Appendix Table B9: Word Clouds: Excluded Words

Words Related to the Hypothetical Scenario and the Reasoning Question:
inflation, price, spend, buy, purchase, year, one, three, hundred, increase, raise, rate, rat, march, month, monthly, rise, rising, high, higher, consumption, item, durable, nondurable, non, product, percentage, per, future, consider, consideration, reason, household, family, us, home, people, person, current, currently, new, different, change, long, period, time, situation, economic, economy, choice, question, answer, survey,
Words Related to Estimations or Assessments of Certainty:
adjust, prediction, expectation, anticipate, plan, believe, estimate, guess, around, predict, try, may, expect, thought, know, seem, might, must, certain, feel, absolutely, pretty, best, better, hard, many, sure, matter, depend, possible, little, significantly, mean, account
Modifier and Connector Words:
good, think, go, goes, going, overall, likely, also, really, every, thing, either, u, etc, next, still, like, within, get, would, everything, something, anything, put, way, away, come, coming, enough, stay, probably, especially, usually, well, unless, towards, however, therefore, since, always, do, become, could, without, cause, much, even, already, based, lot
Other Words: Verbs
see, make, want, use, take, place, afford, keep, need, continue, live, start, stop, end, affect, due, find, give, order, set, state, happen, head, base, compare, fund, shop, drive, pass, look, able
Other Words: Non-Verbs
right, none, back, last, past, area, clothe, name, store, life

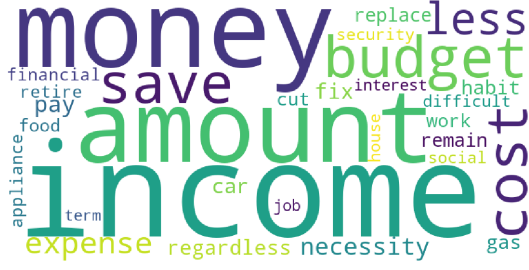
Notes: Words, after being lemmatized, that were excluded from the word clouds presented in Figure B6. Words were organized into subjective categories, and within each category are organized roughly by concept. In addition to these words, 179 common stop words were also excluded.

ing the same while buying “cheaper” items, less “brand” name items, and using “coupons.”

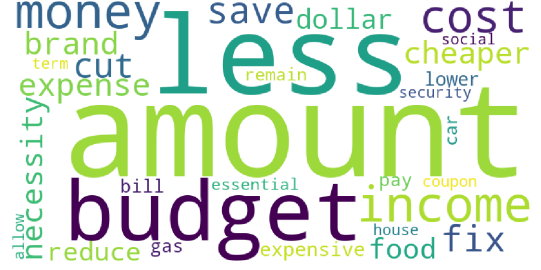
For respondents who increased their consumption (Figure B6c), there is limited consensus in terms of words used in the open box. Recall a substantial fraction of respondents seem to have “mechanically increased” their spending based on our reading of the open-box text. That is, despite our careful design, some subjects still said something like, “Things will cost more so I will have to spend more for the same goods.” We can see evidence of this in the word cloud based on the prevalence of “cost.” A few respondents used words such as “sooner” and “stock,” suggesting that some individuals were thinking about stockpiling or intertemporal substitution.

For respondents who decrease their consumption (Figure B6d), frequently used words include: “less,” “save,” “cut,” “income,” and “money.” This is consistent with the fact that many respondents who decrease spending are worried about being poorer following an increase in future inflation, possibly due to saver’s wealth effects or rigid incomes.

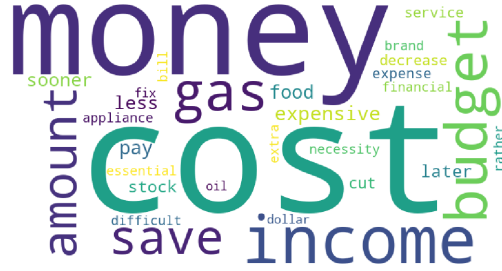
Note that word clouds do not allow one to assess whether particular terms are systematically used in negated contexts. This limitation matters because, if certain words frequently appear with negation, one may infer the opposite directional subjective model from the word cloud than what respondents intended. To address this concern, we examined whether commonly used words were typically preceded by negation (prior to re-



(a) No Change



(b) Same Spend, Different Bundle



(c) Increase



(d) Decrease

Appendix Figure B6: Word Clouds

Notes: Word clouds of the most commonly used words in the open-text responses of respondents by qualitative change in consumption. In the text analysis, punctuation was removed, all letters were made lowercase, and all words were lemmatized. Additionally, 179 common stop words were removed, as were the words listed in Table B9. Each word cloud has a maximum of 35 words.

moving stop words). We find minimal evidence of systematic negation. The primary exception is the word “replace,” which is preceded by a negation within three preceding words 10% of the time (e.g., “won’t have to replace,” “I don’t just replace,” “no need to replace”). This pattern also explains why “replace” appears in the word cloud for “no change” responses: some respondents are not expressing an intention to replace items, but rather indicating that they do not plan to purchase replacements.

B.7 LLM Classification of Open Box Text

Section 4.3 presents the analysis of open-text responses based on human classification. However, human coding may introduce researcher bias (Haaland et al., 2024). To address this concern, we conduct a robustness check in which we use ChatGPT 5.2 (with default settings) to classify the open-text responses.²⁴

We provide the LLM model with only minimal instructions for classification: a brief description of each mechanism as listed in Tables 1 and 2, supplemented with a description of the general wealth effect channel. The full prompt is reproduced below.

You are an expert economist analyzing survey responses about consumer spending behavior during inflation. Based on the participant’s spending change pattern: “no change”/ “same spending, different bundle”/ “spending decrease”/ “spending increase”, you need to categorize their explanation into one of the following economic concepts:

²⁴For more information about this model, see <https://platform.openai.com/docs/models/gpt-5.2>.

[List of channel names and definitions as in Table 1 and Table 2 + General wealth effect (decrease): “I do not mention my income or savings; however, I generally feel poorer than before, so I buy less (non)durable goods.”]

Instructions:

1. Read the participant’s explanation carefully.
2. Identify which of the above economic categories best aligns with the participant’s explanation.
3. If more than one category applies, you may list up to two categories.
4. If none of the categories apply, you may assign “Other” or “Uninformative”. “Other” should be used when the explanation provides economic or political reasoning that does not fit any of the listed categories. “Uninformative” should be used when the explanation does not clearly explain the participant’s reasoning, is irrelevant, or is internally inconsistent.

Columns 1 and 2 of Table B10 report classification statistics pooled across the six main treatments, separately for each spending category. Overall, the main channels identified by human coding are also identified by the LLM as the most frequent categories. However, there are some differences. First, for respondents who choose not to change their consumption bundle, Table B10 shows that the LLM classifies far fewer responses as “not a consideration” and assigns more weight to “liquidity constraints” and “real income unchanged.” Second, for respondents who choose to decrease their spending, Table B10 shows that the LLM classifies fewer responses as “general wealth effect” and more as “uncertainty” and “rigid income.”

To assess which classification—by human or by LLM—better reflects the underlying respondents’ considerations in the open text, we compare the mechanisms inferred from the open-text responses with those selected by respondents in the structured list questions. Focusing on respondents who provide interpretable answers (that is, not classified as “uninformative” or “other”), we check whether the mechanism coded from the open-text is also selected in the structured list. As discussed in the main text, many explanations for spending decreases express a perceived decline in real resources without explicitly referencing income or savings. We code these responses as “general wealth effect.” If respondents were able to articulate, they could have explained their reasoning as either saver’s wealth effect, or rigid income, or both. Accordingly, we treat an open-text response coded as “general wealth effect” as a match if the respondent selects either “rigid income” or “saver’s wealth effect” from the list of mechanisms.

Overall, the human classification matches the mechanisms selected by respondents in 72% of cases, whereas the LLM classification matches in 64% of cases. Columns 3 and 4 of Table B10 report the statistics for each mechanism. Given that we provide minimal instructions and limited context in the prompt, the LLM’s performance on these nuanced judgments is quite strong. More advanced prompt engineering, context design, or model fine-tuning could likely improve LLM performance to match or exceed human classification, but exploring this is beyond the scope of this paper.

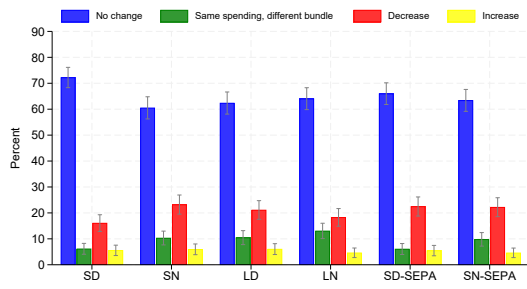
Appendix Table B10: Comparison of Human and LLM Classifications

	Human Share within Spending Category	LLM Share within Spending Category	Human-Structured Match	LLM-Structured Match
<i>Increase Spending</i>				
Intertemporal	0.017	0.008	0.237	0.000
Stockpiling	0.131	0.139	0.863	0.815
Flexible Income	0.020	0.001	0.000	0.000
Nominal Illusion	0.016	0.096	0.000	0.129
<i>Decrease Spending</i>				
Saver's Wealth Effect	0.019	0.042	0.755	1.000
Rigid Income	0.125	0.357	0.795	0.747
General Wealth Effect	0.412	0.112	0.960	0.921
Variable Debt	0.002	0.013	0.488	0.554
Inflation Hedge	0.006	0.001	0.297	0.000
Uncertainty	0.089	0.283	0.487	0.403
<i>Same Spending</i>				
Fixed Budget	0.299	0.282	0.829	0.796
Not a Consideration	0.429	0.174	0.685	0.618
Liquidity Constraints	0.049	0.106	0.633	0.771
Real Income Unchanged	0.046	0.127	0.310	0.252
Aggregate			0.720	0.638

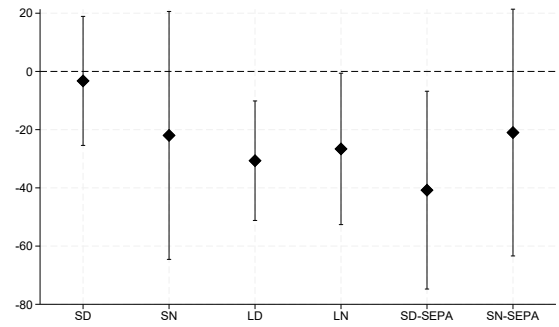
Notes: This table compares human and LLM classification of mechanisms. The first two columns identify the fraction of responses that were classified into each mechanism for each spending response type, by humans and LLMs, respectively. Responses classified as “other” or “uninformative” are omitted. In the last two columns, human-structured and LLM-structured matches indicate the fraction of responses classified into a mechanism by humans and LLM, respectively, where the respondent indeed selected the given mechanism from the structured list. These values can range between 0% and 100%. As discussed in the main text, many explanations for spending decreases convey that respondents feel poorer and therefore plan to spend less or switch to cheaper options in response to higher prices, even though they do not explicitly mention income or savings. We categorize these responses as “general wealth effect,” and call the classification a match if the respondent selected “rigid income” or “saver’s wealth effect.”

B.8 Results with No Demographic Weights

In this section, we replicate the key figures from the main treatment results for spending responses and mechanism selection (Figures 2 through 6), but we report unweighted estimates rather than applying demographic weights. The unweighted results below are quantitatively and qualitatively similar to the weighted findings presented in the main paper.



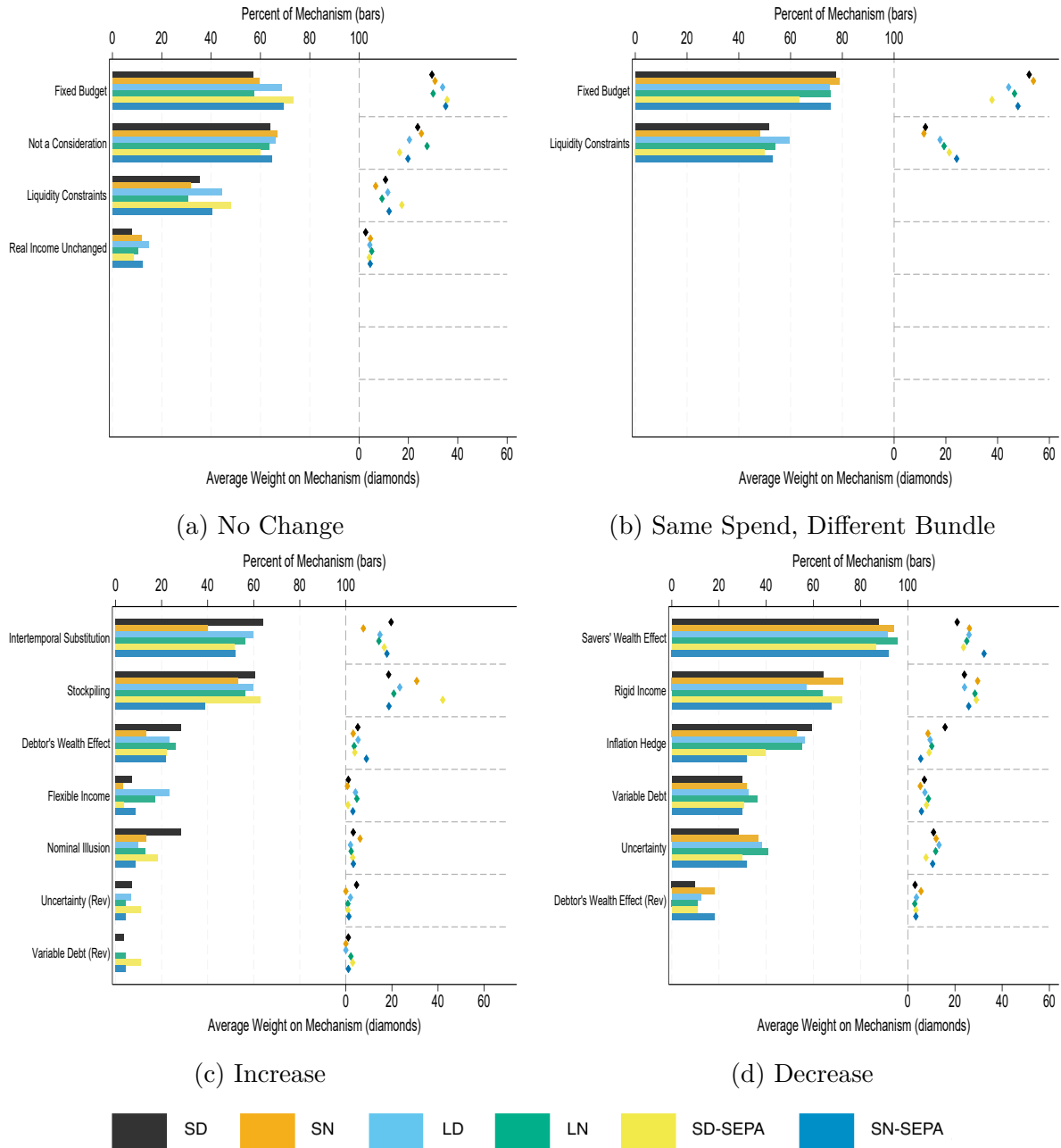
(a) Extensive Margin (Percentage)



(b) Quantitative Effect (Dollar Change)

Appendix Figure B7: Spending Response without Demographic Weighting

Notes: Panel (a) plots the proportion of participants from each treatment group that reported each qualitative response (extensive margin). Panel (b) plots the average quantitative change in dollar spending for each treatment group. The bars indicate 95% confidence intervals. Demographic weighting is not applied.



Appendix Figure B8: Mechanism Selection and Weight Allocation for Main Treatments, without Demographic Weighting

Notes: For each spending response and treatment, the bars report the share of households who select each channel from the structured list and the diamonds indicate the average weights households assign to each mechanism. Because respondents may mention or select multiple channels, the bars can sum over 100%. The weight chart omits the category “other;” its weight is the residual, equal to 100 minus the total weights assigned to the mechanisms shown. Demographic weighting is not applied.

B.9 Treatment Effects

In this appendix, we provide details for the treatment effect analysis to supplement the summary in Section 5.2. We examine how the posterior beliefs, the consumption response, and the channels are affected by treatment variables, captured by the four treatment dummies: “SEPA,” “long,” “large change,” and “durable” (the baseline is SN). Table B11 shows the coding of the treatment dummies for each treatment.

Appendix Table B11: Treatment Dummies

	SEPA	Long	Large Change	Durable
SD	0	0	0	1
SN	0	0	0	0
LD	0	1	0	1
LN	0	1	0	0
SD-SEPA	1	0	0	1
SN-SEPA	1	0	0	0
SD-10	0	0	1	1
D-Gas	0	1	0	1

Posterior Beliefs. Table B12 shows how the duration and size of the expected increase in inflation affect the probability that respondents expect their income growth to keep up with or exceed inflation, the federal funds rate to increase, their financial uncertainty to increase, and the economy to worsen. We omit the durable dummy because the type of consumption should not affect these economic posteriors. Households in long treatments, relative to short treatments, are significantly more likely to expect a higher federal funds rate, higher uncertainty, and a worse economy. Households are less likely to expect income to keep up in the treatment with a large change (SD-10) relative to the treatment with a small change (SD). Households in the SD-SEPA and SN-SEPA treatments are more likely to associate inflation with a worse economy than in the SD and SN treatments.

Appendix Table B12: Posterior Economic Beliefs: Treatment Effects

	(1) Income Keep Up	(2) FFR Increase	(3) Higher Uncertainty	(4) Worse Economy
SEPA	-0.023 (0.027)	-0.001 (0.035)	-0.013 (0.032)	0.178*** (0.036)
Long	0.013 (0.023)	0.104*** (0.031)	0.189*** (0.027)	0.237*** (0.032)
Large Change	-0.044* (0.024)	-0.043 (0.030)	0.023 (0.027)	-0.004 (0.031)
N	5,497	5,497	5,497	5,497

Notes: The table reports the marginal effects of logit regressions of indicators of posterior beliefs on a constant and three dummy treatment variables, “SEPA,” “long,” and “large change.” The dependent variable of the first regression, “income keep up” is equal to 1 if the household expects their income will keep up with or outpace inflation. Robust standard errors are in parenthesis. ***, **, * denotes statistical significance at 1, 5 and 10 percent levels, respectively.

Spending. Table B13 shows the differences in spending behavior across treatments. The first two columns show how the likelihood of decreasing or increasing spending depends on the four treatment variables, and the last column shows the dollar change. Generally speaking, the treatment effects lack statistical significance. The only exception is that the long-term treatments—LD, LN, and D-Gas (which induces inflation expectations similar to LD)—are more likely to decrease spending; this observation is consistent with theory. Despite statistical insignificance, the treatment effects on the dollar change in consumption all have the expected signs.

Appendix Table B13: Consumption Change: Treatment Effects

	(1)	(2)	(3)
	Decrease	Increase	Dollar Change
SEPA	0.022 (0.031)	-0.009 (0.017)	-29.879 (25.659)
Long	0.083*** (0.027)	0.011 (0.014)	-37.883 (24.961)
Large Change	-0.035 (0.029)	0.004 (0.015)	-26.870 (25.953)
Durable	0.009 (0.025)	-0.003 (0.016)	-4.842 (18.944)
N	5,497	5,497	5,497

Notes: The table reports treatment effects, captured by the four dummy treatment variables—“durable,” “SEPA,” “long,” and “large change”—on consumption responses. The first two columns report the marginal effects of logit regressions of the indicators of a decrease in spending and an increase in spending, respectively. The last column reports the result from an OLS regression with the dollar change in consumption as the regressand. Robust standard errors are in parenthesis. ***, **, * denotes statistical significance at 1, 5, and 10 percent levels, respectively.

Channels for ‘No Change’ and ‘Same Spending, Different Bundle’ Responses. Table B14 shows the result of the treatment effects on the selection of channels proposed for ‘no change’ and ‘same spending, different bundle’ responses. We pool the observations from the two response categories for the “liquidity constraints” channel; this channel is likely more important for durables, which tend to be big-ticket items, than for nondurables. The channels “not a consideration” and “real income unchanged” apply only to the ‘no change’ response. Intuitively, the likelihood of choosing the two channels is smaller if the change is more persistent or larger. We do not analyze the treatment effect for “fixed budget” because there is no clear economic prediction for the signs. For each analysis, we run a logit regression where the dependent variable is the indicator of households selecting the channel. All the statistically significant effects have the expected signs:

- Being in the durable treatments reduces the likelihood of selecting “not a consideration,” and increases the likelihood of selecting the “liquidity constraints” channel by 3.7 percentage points.
- Households in the long-term treatments are less likely to select “not a consideration” by 11.2 percentage points.

- Facing a larger change in expectations, households are less likely to select “real income unchanged” by 5.5 percentage points.

Appendix Table B14: Channels for Same Spending: Treatment Effects

	(1)	(2)	(3)
	Not a Consideration	Real Income Unchanged	Liquidity Constraints
SEPA	-0.052 (0.043)	-0.023 (0.030)	
Long	-0.112*** (0.039)	-0.013 (0.026)	
Large Change	0.065 (0.040)	-0.055** (0.025)	
Durable	-0.076** (0.037)		0.037** (0.017)
N	3,594	3,594	4,059

Notes: The table reports the marginal effects of logit regressions of the indicators of households selecting each of three same-dollar-spending channel on four dummy treatment variables—“durable,” “SEPA,” “long,” and “large change.” In each regression, we include only those treatment variables for which theory delivers a clear prediction about their effect on the outcome. Blank entries indicate that the corresponding variables are omitted from the specification. Robust standard errors are in parenthesis. ***, **, * denotes statistical significance at 1, 5 and 10 percent levels, respectively.

Channels for ‘Decrease’ Responses. Table B15 shows the results from logit regressions to analyze how the probability of choosing each channel for decrease responses is affected by the treatment variables.²⁵ The applicability of the “saver’s wealth,” “rigid income,” “variable debt,” and “uncertainty” channels may vary based on the duration of higher inflation so we include the dummy variables SEPA and long-term treatment. However, the type of good is unlikely to affect the applicability of these channels so we omit the durable good dummy. The “inflation hedge” channel depends clearly on the type of spending: one expects a stronger decrease response for nondurable goods because they provide a weaker hedge against inflation relative to durable goods. In contrast, it is not clear how the persistence of higher inflation expectations affects the strength of the “inflation hedge” channel. On the one hand, one might want to invest in assets such as real estate to hedge against more persistent inflation. On the other hand, the mortgage rate and financial uncertainty may be higher, which tends to reduce the probability of investing in real estate. The overall effect of the long-term treatment on the strength of the inflation hedge channel is, therefore, not clear. For this reason, in the regression analysis of this channel, we include only the dummy variables for the durable treatment and large change.

The treatment effects, in general, lack statistical significance. One exception is that households in the long-term treatments are much more likely to select the “uncertainty” channel (by 25.3 percentage points), indicating that they tend to associate more persistent inflation with higher uncertainty. The households in the SEPA treatments tend to select “rigid income” more.

²⁵We omit the “debtor’s wealth effect (reverse)” because this channel was selected very rarely.

Appendix Table B15: Channels for ‘Decrease’ Responses: Treatment Effects

	(1) Saver’s Wealth	(2) Rigid Income	(3) Variable Debt	(4) Inflation Hedge	(5) Uncertainty
SEPA	0.064 (0.056)	0.133* (0.077)	0.017 (0.072)		-0.046 (0.079)
Long	-0.055 (0.052)	-0.046 (0.067)	0.092 (0.061)		0.253*** (0.067)
Large Change	-0.017 (0.053)	0.051 (0.071)	0.050 (0.065)	0.039 (0.052)	-0.006 (0.070)
Durable				0.044 (0.062)	
N	1,138	1,138	1,138	1,138	1,138

Notes: The table reports the marginal effects of logit regressions which regress the indicators of households selecting each of the five channels for decreasing consumption response on four dummy treatment variables—“durable,” “SEPA,” “long,” and “large change.” In each regression, we include only those treatment variables for which theory delivers a clear prediction about their effect on the outcome. Blank entries indicate that the corresponding variables are omitted from the specification. Robust standard errors are in parenthesis. ***, **, * denotes statistical significance at 1, 5 and 10 percent levels, respectively.

Channels for ‘Increase’ Responses. Table B16 shows the treatment effects on the probability that a household indicating an increase in spending selects a channel as being applicable. Economic models suggest that the “intertemporal substitution” and “stockpiling” channels may be stronger for durable goods relative to nondurable goods, and for long duration of the increase in expected inflation relative to short duration (see Appendix A). The other three channels function through the induced changes in expectations in other economic variables.²⁶ Intuitively, the “debtor’s wealth effect” may be stronger in the long-term treatment as persistent inflation results in a lower real value of fixed nominal debts. The “flexible income” channel may be stronger in the long-term treatment because income is more likely to account for inflation if it is more persistent. Related to this, the “nominal illusion” channel should be weaker in the long-term treatment (this channel only applies if the increase in income falls short of the increase in inflation).

²⁶We omit “uncertainty (reverse)” and “variable debt (reverse)” as they were rarely selected.

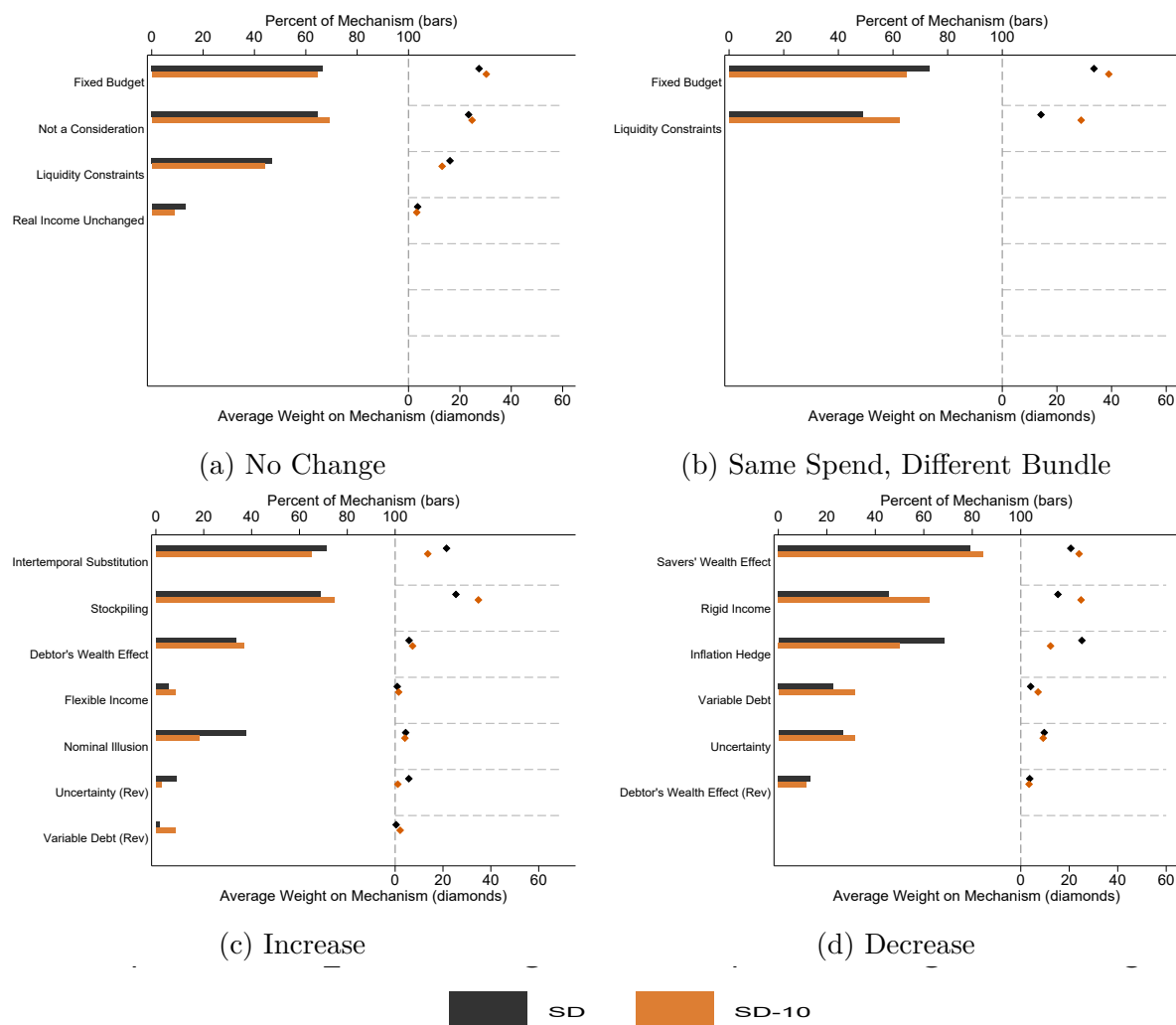
Appendix Table B16: Channels for ‘Increase’ Responses: Treatment Effects

	(1)	(2)	(3)	(4)	(5)
	Intertemporal	Stockpiling	Debtor’s WE	Flexible income	Illusion
SEPA	-0.235* (0.137)	-0.191 (0.133)	-0.113 (0.128)	-0.065 (0.065)	-0.113 (0.088)
Long	0.014 (0.128)	0.065 (0.125)	-0.026 (0.111)	0.071 (0.060)	-0.167** (0.081)
Large Change	-0.012 (0.129)	0.025 (0.127)	0.057 (0.110)	0.011 (0.071)	-0.097 (0.078)
Durable	0.185 (0.123)	0.308*** (0.118)			
N	300	300	300	300	300

Notes: The table reports the marginal effects of logit regressions which regress the indicators of households selecting each of the five channels for increasing consumption response on the dummy variables “durable,” “SEPA,” “large change,” and “long.” In each regression, we include only those treatment variables for which theory delivers a clear prediction about their effect on the outcome. Blank entries indicate that the corresponding variables are omitted from the specification. Robust standard errors are in parenthesis. ***, **, * denotes statistical significance at 1, 5 and 10 percent levels, respectively.

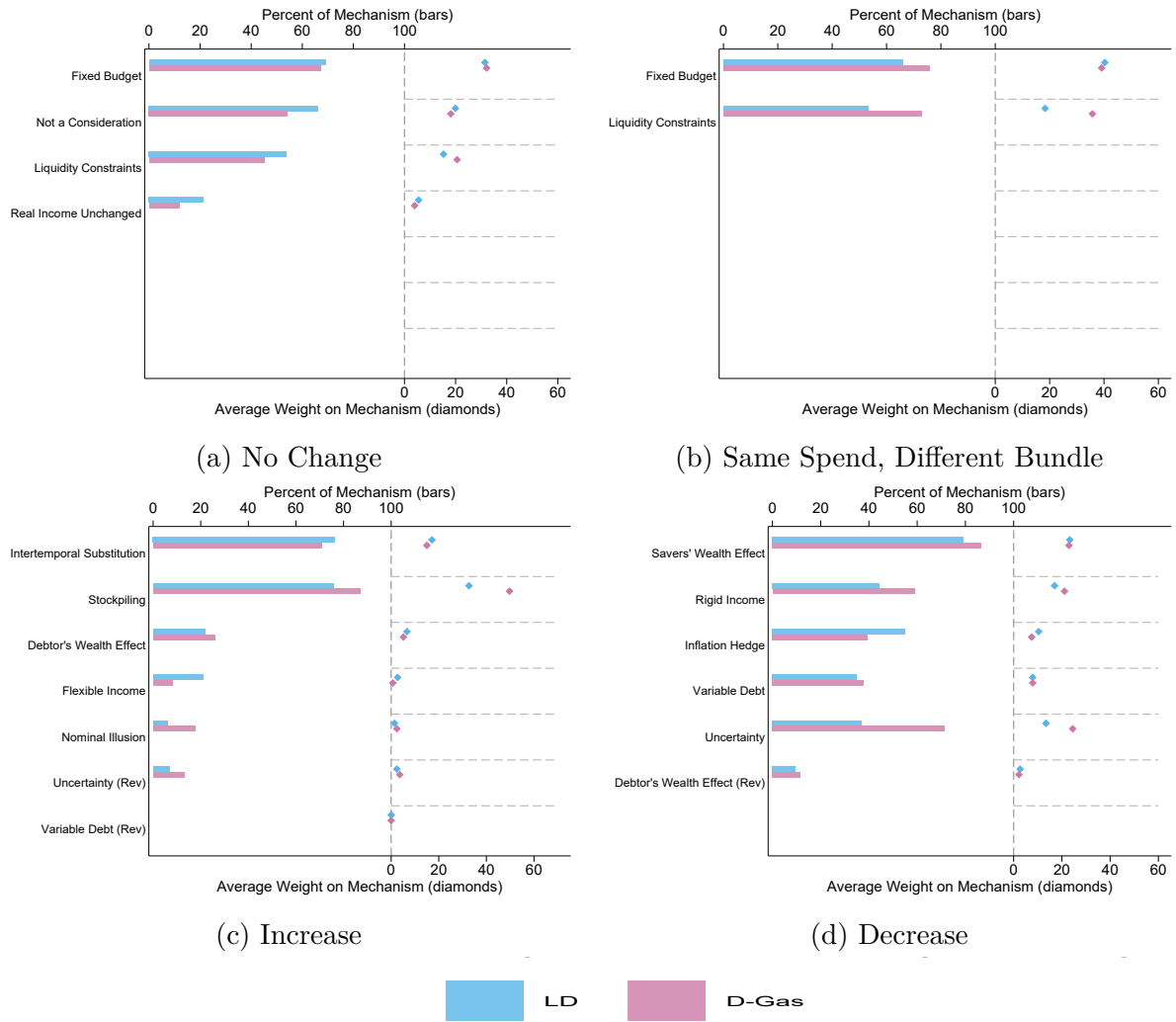
The treatment effects tend to be statistically insignificant, and the significant ones tend to have expected signs. Respondents who are asked about spending on durable goods are more likely (relative to those asked about nondurable goods) to select “intertemporal substitution” by 18.5 percentage points (p -value 0.13) or “stockpiling” by 30.8 percentage points (p -value 0.004). Respondents in the long treatment are less likely to select “nominal illusion.” Households in the SEPA treatments tend to select “intertemporal substitution” less, but the effect is marginally significant (p -value 0.09).

B.10 Channels for Robustness Treatments



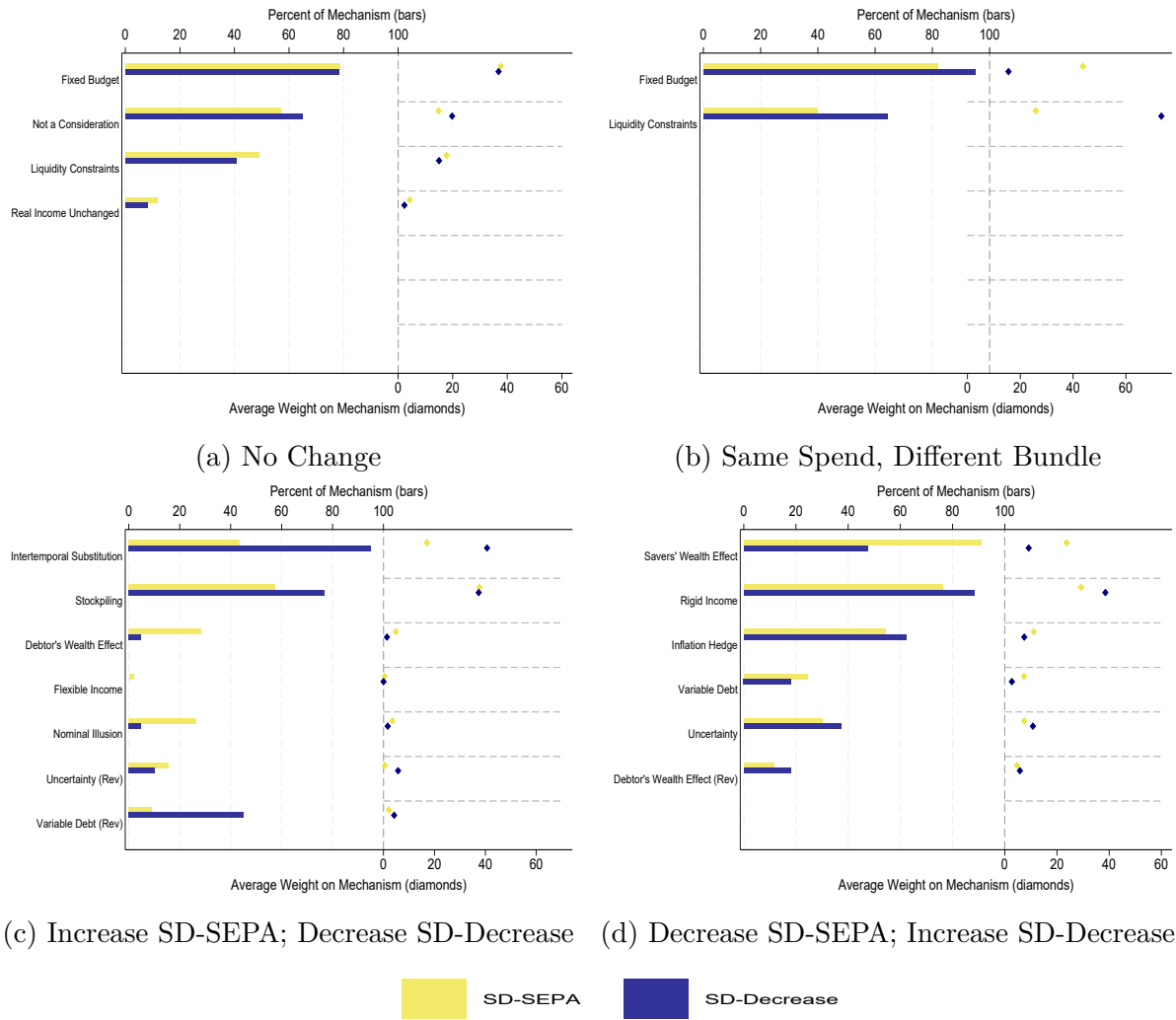
Appendix Figure B9: Mechanism Selection and Weight Allocation, SD versus SD-10

Notes: For each treatment, the figure reports the share of households indicating that a given channel applies to them. Because respondents could select multiple channels, column totals may exceed 100%. The figure also shows the weights households assign to each mechanism; within each treatment, these weights sum to 100.



Appendix Figure B10: Mechanism Selection and Weight Allocation, LD versus D-Gas

Notes: For each treatment, the figure reports the share of households indicating that a given channel applies to them. Because respondents could select multiple channels, column totals may exceed 100%. The figure also shows the weights households assign to each mechanism; within each treatment, these weights sum to 100.



Appendix Figure B11: Mechanism Selection and Weight Allocation, SD-SEPA versus SD-Decrease

Notes: For each treatment, the figure reports the share of households indicating that a given channel applies to them. Because respondents could select multiple channels, column totals may exceed 100%. The figure also shows the weights households assign to each mechanism; within each treatment, these weights sum to 100.

B.11 Other Tables and Figures

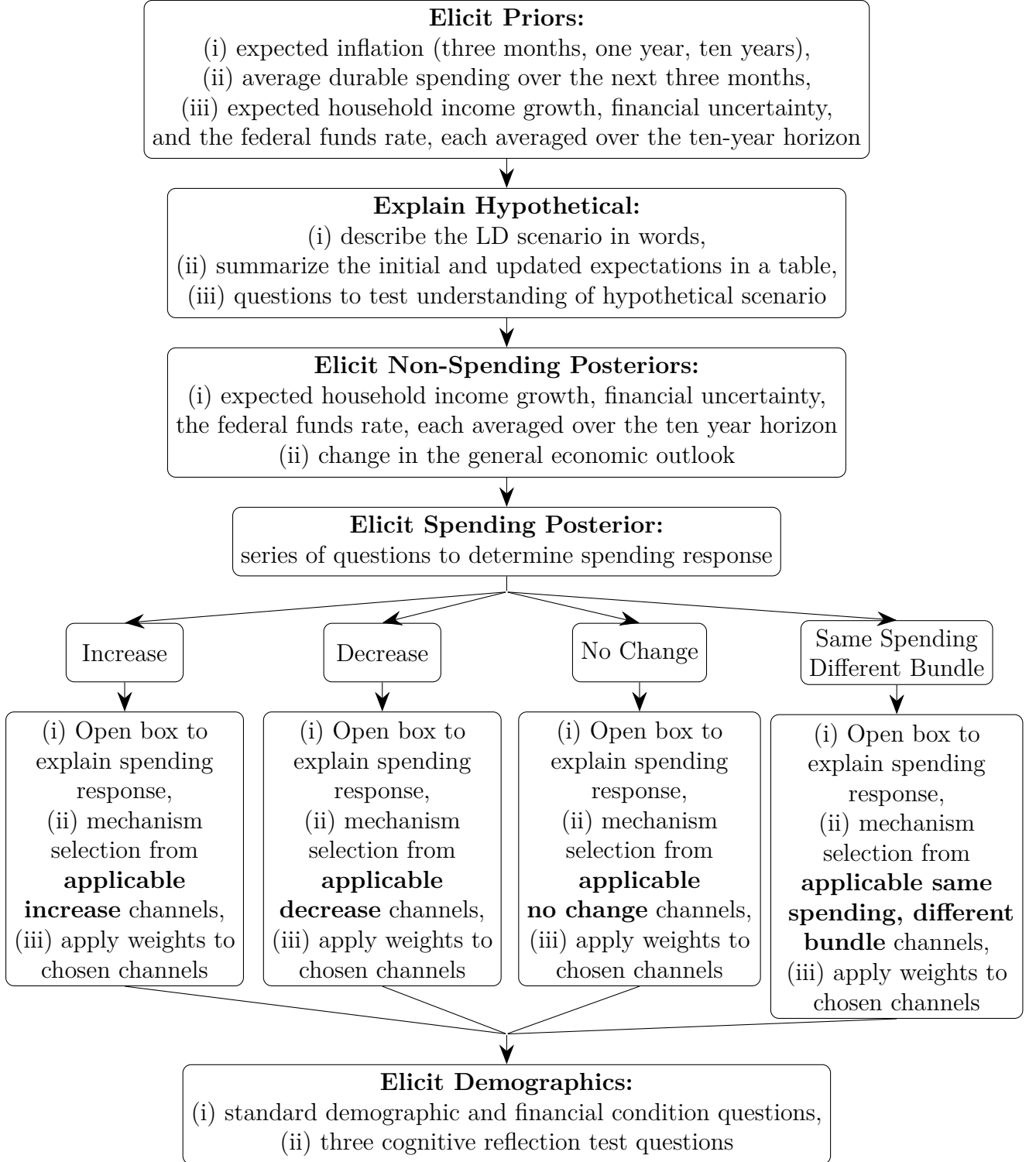
Appendix Table B17: Weight on Mechanisms by Open-Text Response Type

Panel A: Increase								
	Intertemporal Substitution	Stockpiling	Debtor's Wealth Effect	Flexible Income	Nominal Illusion	Uncertainty (Rev)	Variable Debt (Rev)	Other
Open as Other	13.29	26.77	5.35	1.46	2.81	2.10	1.30	41.39
Open not Other	14.98	26.02	4.92	2.36	3.37	1.15	1.65	45.55
Panel B: Decrease								
	Savers' Wealth Effect	Rigid Income	Inflation Hedge	Variable Debt	Uncertainty	Debtor's (Rev)	Other	
Open as Other	23.45	27.61	5.94	8.09	8.87	3.54	15.59	
Open not Other	25.91	26.97	6.93	9.44	11.02	3.77	15.97	
Panel C: Same Spend, Different Bundle								
	Fixed Budget	Liquidity Constraints	Other					
Open as Other	42.46	22.26	30.80					
Open not Other	47.41	17.85	34.75					
Panel D: No Change								
	Fixed Budget	Not a Consideration	Liquidity Constraints	Real Income Unchanged	Other			
Open as Other	31.20	21.06	12.16	2.76	27.89			
Open not Other	32.45	22.20	11.35	4.19	29.81			

Notes: The table reports the average weight on mechanisms by consumption response type in the SD, SN, LD, LN, SD-SEPA, and SN-SEPA treatments (pooled). We separate them for respondents whose open-ended explanation was classified as “other” (rows labeled “Open as Other”) vs. those whose open-text was classified into a mechanism (rows labeled “Open not Other”).

C Survey Structure and Instrument

This section details the survey structure and key questions for the LD treatment. For complete instructions, formatting, and logic of all questions across all ten of our surveys, we refer the reader to our online repository of Qualtrics Survey Format files ([here](#)).



Appendix Figure C12: Survey Flow of the LD Treatment

Prior Inflation Expectations. We elicit inflation expectations at three horizons. We begin with expected inflation over the next three months. Respondents first indicate qualitatively whether they expect prices to go up, go down, or stay the same, and then report the corresponding quantitative magnitude. The quantitative entry is constrained to match the direction implied by the qualitative response. Then, we ask whether the reported value reflects the expected three-month price change or an annualized rate. If a respondent indicates that they annualized their expectation, we ask a follow-up question that re-elicits the three-month expectation (this follow-up is not shown below).

Over the next 3 months from March 2023 to June 2023, do you think prices in general will go up or down? Please give your best guess.

- Go up
- Stay the same
- Go down

By what percent do you think prices in general will go up or down over the next 3 months? Please give your best guess.

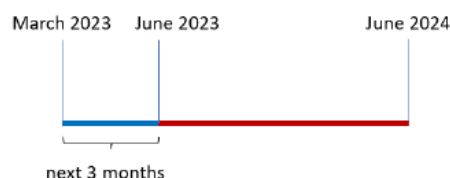
Notes: Please enter a negative number if you think prices will go down and a positive number if you think prices will go up. Please enter "0" if you think prices will stay the same.

percent

Would that be \${q://QID440/ChoiceTextEntryValue} percent over the next 3 months, or is that the annual rate?

- I reported the price change over the next 3 months
- I was thinking about the annual price change rate

Next, we elicit respondents' inflation expectations over the one-year horizon beginning three months from today. To reduce confusion, we reference specific dates, present a timeline, and use color cues to highlight the relevant period. As with the three-month horizon, we begin with a qualitative question before asking for the corresponding quantitative expectation.



Now think about the period from June 2023 to June 2024 (from now on, we will use the red color to denote the time period after the next 3 months). Do you think prices in general will go up or down during this time period? Please give your best guess.

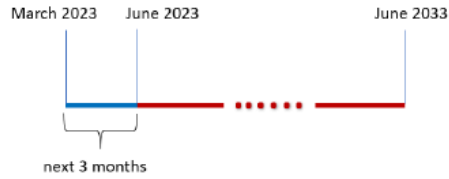
- Go up
- Stay the same
- Go down

By what percent do you think prices in general will go up or down over this period from June 2023 to June 2024? Please give your best guess.

Notes: Please enter a negative number if you think prices will go down and a positive number if you think prices will go up. Please enter "0" if you think prices will stay the same.

 percent

Finally, we obtain respondents' average annual inflation expectations for the ten-year horizon, three months forward. Again, to reduce confusion, we reference specific dates, display a timeline, and use color cues to highlight the relevant period. Furthermore, we bold and underline "per year" to emphasize we are looking for the average. Then, we ask whether the reported value reflects the inflation rate per year or the total over the ten year period. If a respondent indicates that they reported the total inflation rate over the ten years, we ask a follow-up question that re-elicits the average expectation (this follow-up is not shown below).



Now think about the 10-year period from June 2023 to June 2033. Do you think prices in general will go up or down during this time period? Please give your best guess.

- Go up
- Stay the same
- Go down

By what percent per year do you think prices in general will go up or down on average over this 10-year period from June 2023 to June 2033? Please think about the change per year on average. Please give your best guess.

Notes: Please enter a negative number if you think prices on average will go down and a positive number if you think prices on average will go up. Please enter "0" if you think prices on average will stay the same.

 percent

Would that be $\{q://QID445/ChoiceTextEntryValue\}$ percent per year, or is that the total value over this 10-year period from June 2023 to June 2033?

- Percent per year
- Total value over the 10-year period

Prior Spending. When we elicit durable spending, we begin with a definition of durables and highlight that we are looking for average monthly spending:

The next set of questions ask about your household's spending on durable goods.

Recall: by **household** we mean everyone who usually lives in your primary residence (including yourself), excluding those as non-relatives (e.g., roommates and renters).

Durable goods are goods that last in time, including, for instance, cars, electronics, kitchen appliances, furniture, house maintenance, jewelry, etc. *Please exclude rent, money saved or invested, and real estate investments like home purchases.*

The purchases of durable goods could vary from month to month. While answering the next two questions, please think about your household's **average monthly** spending.

Next, we obtain planned durable spending as follows. We also verify the value provided is the respondent's monthly spending over the next three months and not the total. If the respondent says total, we divide their response by three, and ask them to verify the new value (the follow-up is not shown).

Now **looking ahead**, what do you think your household's average monthly spending on durable goods will be **over the next 3 months from March 2023 to June 2023**?

Please enter a number in dollars (\$) greater than or equal to 0.

Monthly spending on durable goods (in \$)

Would $\$ \{q://QID457/ChoiceGroup/AllChoicesTextEntry\}$ be your monthly spending, or is it the total spending over this 3 months period?

Monthly spending

Total spending

Hypothetical Scenario. After collecting respondents' prior beliefs, we present the LD hypothetical scenario as follows. The example below corresponds to a respondent who reported expected inflation of 1% over the next three months, 3% over the year beginning three months from now, and 2% on average over the ten years beginning three months from now. In all treatments, expectations over the next three months remain unchanged. In the LD treatment, we increase the other inflation expectations by three percentage points. The table at the bottom summarizes the initial and updated expectations. We call this the "recap table" and show it to respondents repeatedly throughout the survey.

Now, imagine that you have received some information about future prices from a reliable source that you trust. In response to this new information, you update your expectations on prices as follows:

(1) *Over the next 3 months from March 2023 to June 2023, you expect the percentage change in prices to be 1% (this is the **same** as your initial expectation).*

(2) *Over the 12-month period from June 2023 to June 2024, you expect the percentage change in prices to be 6% (this is **3% higher** than your initial expectation).*

(3) *Over the 10-year period from June 2023 to June 2033, you expect the percentage change in prices per year on average to be 5% (this is **3% higher** than your initial expectation).*

The table below summarizes your initial expectations and updated expectations on future prices.

Expectations on changes in future prices	Over the next 3 months March 2023 to June 2023	Over the 12-month period June 2023 - June 2024	Over the 10-year period June 2023 - June 2033
Initial	1%	3%	2% per year
Updated	1%	6%	5% per year

Hypothetical Validation. To ensure that respondents understood the hypothetical scenario, we included three validation questions below. Respondents were required to answer these correctly before proceeding. Each question was a multiple choice question with five response options: the respondent's previously stated expectation for the relevant horizon, as well as that value minus three, minus one, plus one, and plus three. The options were always ordered from smallest to largest. For brevity, the response options are not shown below.

Please answer the following three questions to check your understanding of your updated expectations.

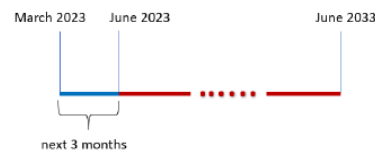
After receiving information from a reliable source, you expect prices *over the next 3 months from March 2023 to June 2023*, to change by ____ percent.

After receiving information from a reliable source, you expect prices *over the 12-month period from June 2023 to June 2024*, to change by ____ percent.

After receiving information from a reliable source, you expect prices *over the 10-year period from June 2023 to June 2033*, to change by ____ percent per year on average.

Posterior Spending. After presenting the hypothetical scenario and the validation questions, we elicit how respondents would adjust their spending plans using a series of three questions. First, we ask whether they would change anything about their planned

durable purchases in response to the change in expectations. Respondents who indicate that they would buy the same type and the same amount of durable goods are classified as making ‘no change.’



Earlier, we asked you about your spending plan on durable goods **over the next 3 months**.

In response to the change in your expectations about future prices **after the next 3 months** (see table below for a recap), do you still plan to buy the same type and same amount of durable goods **over the next 3 months** as in your previous plan?

- ☐ I would buy the same type and same amount of durable goods as previously planned
- ☐ I would buy different amounts and/or different types of durable goods from previously planned

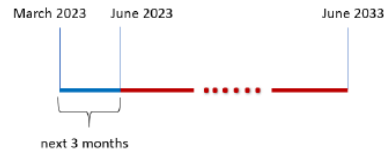
Second, respondents who report any change in either the amount or the type of planned purchases are then asked whether they would change the dollar amount of their spending. Respondents who indicate that they would not change the amount of spending are then classified as ‘same spending, different bundle.’

You just indicated that, in response to the change in your expectations about future prices **after the next three months**, you would **not** buy the same type and same amount of durable goods **over the next 3 months**.

Now think about your dollar spending. Will you change your dollar spending on durable goods **over the next 3 months**? For your reference, previously you planned to spend on average \$ $\{q://QID50/ChoiceGroup/AllChoicesTextEntry\}$ per month on durable goods **over the next 3 months**.

- ☐ I plan to spend the same dollar amount as previously planned
- ☐ I plan to change my dollar spending

Third, respondents who indicate that they would change their dollar spending are asked whether they would increase or decrease spending, and we then elicit their revised spending plan.



You just indicated that you will change your dollar spending on durable goods **over the next 3 months** in response to the change in your expectations about future prices **after the next 3 months**. Do you plan to increase or decrease your spending on durable goods?

- Increase
- Decrease

To be more accurate, what is your new plan for the household's average monthly spending on durable goods **over the next 3 months**? Your best guess is fine. For your reference, your previous plan was to spend \$ `#{QID50/ChoiceGroup/AllChoicesTextEntry}` per month on durable goods.

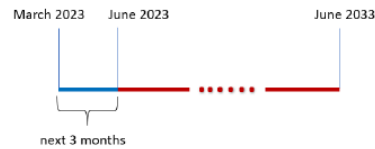
Please enter a dollar (\$) value greater than or equal to 0.

Mechanisms: Open Box. We then ask respondents to explain, in their own words, why they chose their new spending plan.

We would like to know your thought process in answering the previous question on your new spending plan. What are your considerations in giving the previous answer?

Your response is valuable for this research project. Therefore, **please take your time to respond carefully and in several sentences if needed. Not answering might cause you to be disqualified.**

Mechanisms: Selection. We then present each channel that is consistent with the respondent's chosen direction of spending change and posterior beliefs one at a time. The respondent then states whether or not the mechanism applies to them. Below is an example of a respondent who said they would keep spending the same but adjust their basket of goods, being shown the fixed budget channel.



In response to the change in your expectations about future prices **after the next 3 months** (see table below for a recap), you plan not to buy the same type and/or same amount of durable goods but spend the same dollar amount on durable goods **over the next 3 months**.

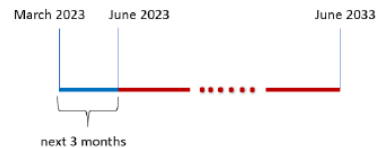
Does the following consideration apply to you when making this adjustment?

"I have a fixed budget plan and stick with it."

This consideration applies to me

This consideration does not apply to me

Mechanisms: Weights. We then asked respondents to allocate 100 points across the mechanisms they selected to indicate their relative importance. Below, we show an example that a respondent who reported no change in their spending plans and that their expected income growth would keep pace with inflation would have seen. Note that the example displays the full set of ‘no change’ mechanisms; in the survey, however, respondents saw only the mechanisms they had selected.



In response to the change in your expectations about future prices **after the next 3 months** (see table below for a recap), you plan to buy the same type and same amount of durable goods **over the next 3 months**.

You indicated earlier that the following considerations apply to you. Please allocate 100 points in the table below indicating how much of a reason was for each listed consideration. Note that 0 means not a reason at all, 100 means the only reason, and the points in the column should sum to 100.

<i>I have a fixed budget plan and stick with it.</i>	0
<i>When I plan my spending over the next 3 months, the price changes after the next 3 months do not matter</i>	0
<i>I don't have money and cannot borrow to increase my spending over the next 3 months.</i>	0
<i>My household income will keep up with price increases over this period. So, I will not change my spending decisions over the next 3 months</i>	0
<i>Other reasons as I mentioned in the previous open-text question.</i>	0
Total	0